



Basel III Pillar 3 Disclosures

December 31st, 2025

البنك الأهلي السعودي

The Saudi National Bank

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KM1 – key metrics (at consolidated group level)

SAR '000		31 Dec 2025	30 Sep 2025	30 Jun 2025	31 Mar 2024	31 Dec 2024
Available capital (amounts)						
1	Common Equity Tier 1 (CET1)	147,267,575	141,212,029	139,654,513	133,291,263	132,619,766
1a	Fully loaded ECL accounting model CET1	147,267,575	141,212,029	139,654,513	133,291,263	132,182,409
2	Tier 1	164,209,115	157,195,043	157,655,622	153,768,110	153,044,867
2a	Fully loaded ECL accounting model Tier 1	164,209,115	157,195,043	157,655,622	153,768,110	152,607,510
3	Total capital	175,635,177	166,984,325	166,502,114	157,897,553	157,103,990
3a	Fully loaded ECL accounting model total capital	175,635,177	166,984,325	166,502,114	157,897,553	156,666,633
Risk-weighted assets (amounts)						
4	Total risk-weighted assets (RWA)	830,157,896	804,101,320	807,599,350	817,781,863	754,330,280
4a	Total risk-weighted assets (pre-floor)	830,157,896	804,101,320	807,599,350	817,781,863	754,330,280
Risk-based capital ratios as a percentage of RWA						
5	CET1 ratio (%)	17.74%	17.56%	17.29%	16.30%	17.58%
5a	Fully loaded ECL accounting model CET1 (%)	17.74%	17.56%	17.29%	16.30%	17.52%
5b	CET1 ratio (%) (pre-floor ratio)	17.74%	17.56%	17.29%	16.30%	17.58%
6	Tier 1 ratio (%)	19.78%	19.55%	19.52%	18.80%	20.29%
6a	Fully loaded ECL accounting model Tier 1 ratio (%)	19.78%	19.55%	19.52%	18.80%	20.23%
6b	Tier 1 ratio (%) (pre-floor ratio)	19.78%	19.55%	19.52%	18.80%	20.29%
7	Total capital ratio (%)	21.16%	20.77%	20.62%	19.31%	20.83%
7a	Fully loaded ECL accounting model total capital ratio (%)	21.16%	20.77%	20.62%	19.31%	20.77%
7b	Total capital ratio (%) (pre-floor ratio)	21.16%	20.77%	20.62%	19.31%	20.83%
Additional CET1 buffer requirements as a percentage of RWA						
8	Capital conservation buffer requirement (2.5% from 2019) (%)	2.50%	2.50%	2.50%	2.50%	2.50%
9	Countercyclical buffer requirement (%)	0.16%	0.16%	0.17%	0.12%	0.18%
10	Bank G-SIB and/or D-SIB additional requirements (%)	2.00%	2.00%	2.00%	2.00%	1.50%
11	Total of bank CET1 specific buffer requirements (%) (row 8 + row 9 + row 10)	4.66%	4.66%	4.67%	4.62%	4.18%
12	CET1 available after meeting the bank's minimum capital requirements (%)	8.58%	8.40%	8.13%	7.18%	8.90%
Basel III leverage ratio						
13	Total Basel III leverage ratio exposure measure	1,283,456,290	1,277,489,932	1,266,846,448	1,241,356,687	1,158,193,798
14	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves)	12.79%	12.30%	12.44%	12.39%	13.21%
14a	Fully loaded ECL accounting model Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) (%)	12.79%	12.30%	12.44%	12.39%	13.18%
14b	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves)	12.79%	12.30%	12.44%	12.39%	13.21%
14c	Basel III leverage ratio (%) (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.79%	12.30%	12.44%	12.39%	13.21%
14d	Basel III leverage ratio (%) (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values for SFT assets	12.79%	12.30%	12.44%	12.39%	13.21%
Liquidity Coverage Ratio (LCR)						
15	Total high-quality liquid assets HQLA	164,899,163	179,687,789	166,739,120	172,138,622	169,371,146
16	Total net cash outflow	57,844,097	68,432,360	73,328,796	70,109,298	63,858,513
17	LCR ratio (%)	285%	263%	227%	246%	265%
Net Stable Funding Ratio (NSFR)						
18	Total available stable funding	786,636,467	765,260,976	761,889,582	730,922,534	693,255,977
19	Total required stable funding	688,721,275	681,333,918	677,581,982	685,939,348	650,275,887
20	NSFR ratio	114%	112%	112%	107%	107%

OVA – bank risk management approach

a. Business model determination and interaction with the overall risk profile.

SNB's business model is built around diversified corporate, retail, treasury, and international banking activities, supported by a stable funding base and a strong domestic presence. These strategic choices directly shape the Bank's inherent risk profile, influencing the composition of credit, market, liquidity, operational, and non-financial risks.

The Bank ensures that its business model and risk profile remain aligned with the Board-approved risk appetite through a structured framework that translates strategic objectives into measurable risk thresholds. As the Bank grows or adjusts its portfolio mix, funding strategy, or geographic footprint, the resulting changes in risk profile are assessed against risk capacity, capital resources, and liquidity resilience. This ensures that strategic execution remains consistent with the Bank's risk tolerance and regulatory expectations.

b. The risk governance structure

Risk management at SNB is anchored in a comprehensive governance structure supported by the three lines of defense. Business units own day-to-day risk-taking activities and operate within approved limits and authorities. The Risk Group provides independent oversight, develops the Bank's risk appetite, challenges risk-taking activities, and ensures that risk measurement, stress testing, and model governance are robust and consistently applied. Internal Audit provides independent assurance over the design and effectiveness of the risk management framework.

Oversight is exercised by the Board of Directors and its delegated committees, particularly the Board Risk Committee, which monitors adherence to risk appetite, reviews emerging risks, and ensures that the Bank's risk profile remains aligned with its strategic direction. The GCRO leads the Risk Group, reports to the GCEO, and engages directly with the Board and its committees throughout the year.

c. Channels to communicate, decline and enforce the risk culture within the Bank

SNB promotes a strong risk culture through a structured set of communication, training, and enforcement channels that ensure risk awareness is consistently embedded across all levels of the organization. The Bank communicates its risk expectations through Board-approved policies, the annual Risk Appetite Statement, and regular risk reporting to senior management and business units. These expectations are reinforced through mandatory training programs, targeted awareness campaigns, and ongoing communication from the GCRO and risk leadership, ensuring that employees understand their responsibilities within the three-lines-of-defense model. Risk culture is further embedded through performance management frameworks that incorporate risk-aligned behaviours, escalation protocols that require timely reporting of breaches or emerging concerns, and governance forums where risk issues are openly discussed and challenged. The Bank enforces its risk culture through clearly defined consequences for non-compliance, independent oversight by the Risk Group and Internal Audit, and structured restoration plans when risk appetite thresholds are breached. Collectively, these channels ensure that risk considerations are consistently communicated, reinforced, and upheld across the Bank, supporting a culture of accountability, transparency, and prudent risk-taking.

d. Description of the process of risk information reporting provided to the board and senior management.

Risk information is reported to the Board and senior management through a structured, multi-layered process designed to ensure timely visibility of the Bank's risk profile, emerging issues, and adherence to the Board-approved risk appetite. The Risk Group prepares regular risk reports—including enterprise-wide risk dashboards, RAS monitoring packs, portfolio reviews, stress testing results, and RWA and capital adequacy updates—which are submitted to senior management committees and subsequently escalated to the Board Risk Committee and the Board of Directors. These reports provide an integrated view of financial and non-financial risks, highlight breaches or early-warning indicators, and outline management actions and restoration plans where required. In addition to scheduled reporting, ad-hoc updates are provided in response to material developments such as market volatility, regulatory directives, or significant portfolio events. The GCRO engages directly with the Board and its committees throughout the year, ensuring transparent communication, independent challenge, and informed decision-making. This reporting framework ensures that the Board and senior management maintain a forward-looking understanding of the Bank's risk profile and can exercise effective oversight over capital adequacy, liquidity resilience, and alignment with the Bank's strategic objectives.

e. Qualitative information on stress testing

SNB conducts its stress test, as mandated by the Saudi Central Bank (SAMA), which is submitted to the regulator on a semi-annual basis. However, it is considered as an important internal tool of analyzing the risk profile of the Bank at the enterprise level and provides an understanding of how Group's capital adequacy is impacted by extreme conditions. It is also part of the Internal Capital Adequacy Assessment Plan (ICAAP) and supplements the Bank's internal capital planning on a forward-looking basis, along with the Internal Liquidity Adequacy Assessment Plan (ILAAP), where The Bank considers stress testing as a key tool to measure and evaluate the Group's funding liquidity position.

The stress testing framework is comprehensive and covers all material portfolios which include corporate lending, retail products, treasury investments, Turkish subsidiary and Financial Institutions. All Major risk types are considered within the scope of the SNB stress testing such as credit risk, market risk and operational risk, interest rate risk in the banking book, liquidity risk and concentration risk.

The Bank has formulated several scenarios which include Saudi macroeconomic conditions and external stressed events while appropriately taking into consideration the regulator's requirements. Under each scenario, stressed losses and their impact on capital adequacy ratio (CAR) are assessed. The approach to determining stress test scenarios involves a combination of historical information and expert judgment. In addition to the impact assessment on capital adequacy, SNB also considers stress testing as a key tool to measure and evaluate the Group's funding liquidity position due to sudden and severe stress events. In this regard, the Bank calculates

the stressed liquidity outflow due to select scenarios and varying level of shocks to the risk factors. Further, the Bank also conducts sensitivity analysis to assess the combined impact of shift in risk factors under three levels of severity, and a reverse stress test to determine the losses that the Bank would incur so that it triggers 10.5% CAR as the reverse stress test threshold, along with conducting it at 8% threshold

f. The strategies and processes to manage, hedge and mitigate risks that arise from the bank's business model and the processes for monitoring the continuing effectiveness of hedges and mitigants.

SNB employs a comprehensive set of strategies and processes to manage, hedge, and mitigate the risks arising from its business model, ensuring that exposures remain aligned with the Board-approved risk appetite and regulatory expectations. Credit risk is mitigated through prudent underwriting standards, internal rating models, collateral and guarantee structures, exposure limits, and active portfolio monitoring. Market and interest rate risks are managed through balance-sheet positioning, duration management, and the selective use of hedging instruments such as interest rate swaps and foreign exchange derivatives, executed under approved counterparty limits and supported by robust valuation and collateral management practices. Liquidity and funding risks are mitigated through diversified funding sources, maintenance of high-quality liquid assets, and adherence to internal and regulatory liquidity metrics, complemented by contingency funding plans that outline actionable responses under stress. Operational and non-financial risks are addressed through internal controls, segregation of duties, technology safeguards, incident management processes, and business continuity arrangements.

The effectiveness of these mitigants and hedges is monitored through a structured framework that includes regular performance assessments, back-testing, stress testing, limit utilisation reviews, and independent validation where applicable. Risk mitigation performance is reported to senior management committees and the Board Risk Committee, highlighting any deterioration in hedge effectiveness, emerging vulnerabilities, or required remediation actions. This continuous monitoring ensures that risk mitigants remain appropriate for the Bank's evolving business model and risk profile, and that corrective measures are taken promptly to preserve the Bank's financial resilience.

OV1 – Overview of RWA

SAR '000		RWA	RWA	Minimum capital requirements	Significant differences
		31 Dec 2025	30 Sep 2025	31 Dec 2025	
1	Credit risk (excluding counterparty credit risk)	648,906,720	641,198,671	51,912,538	Loans growth
2	Of which: standardized approach (SA)	648,906,720	641,198,671	51,912,538	
3	Of which: foundation internal ratings-based (F-IRB) approach				
4	Of which: supervisory slotting approach				
5	Of which: advanced internal ratings-based (A-IRB) approach				
6	Counterparty credit risk (CCR)	9,850,640	9,376,560	788,051	
7	Of which: standardized approach for counterparty credit risk	9,850,640	9,376,560	788,051	
8	Of which: IMM				
9	Of which: other CCR				
10	Credit valuation adjustment (CVA)	12,314,166	9,661,538	985,133	Increase in positive fair value
11	Equity positions under the simple risk weight approach and the internal model method during the five-year linear phase-in period				
12	Equity investments in funds – look-through approach	90,039,507	76,516,207	7,203,161	mainly driven by the regulatory phase in mechanism during the five years phase in period from 220% to 280% for PE
13	Equity investments in funds – mandate-based approach	3,691,386	2,257,756	295,311	mainly driven by the regulatory phase in mechanism during the five years phase in period from 220% to 280% for PE
14	Equity investments in funds – fall-back approach	5,513,946	5,166,262	441,116	
15	Settlement risk				
16	Securitization exposures in banking book	3,088,693	3,086,559	247,095	
17	Of which: securitization IRB approach (SEC-IRBA)				
18	Of which: securitization external ratings-based approach (SEC-ERBA), including internal assessment approach (IAA)	3,084,252	3,086,559	246,740	
19	Of which: securitization standardized approach (SEC-SA)	4,441		355	
20	Market risk	18,138,219	18,223,149	1,451,058	
21	Of which: standardized approach (SA)	18,138,219	18,223,149	1,451,058	
22	Of which: internal model approach (IMA)				
23	Capital charge for switch between trading book and banking book				
24	Operational risk	38,614,619	38,614,619	3,089,170	
25	Amounts below the thresholds for deduction (subject to 250% risk weight)				
26	Output floor applied				
27	Floor adjustment (before application of transitional cap)				
28	Floor adjustment (after application of transitional cap)				
29	Total (1 + 6 + 10 + 11 + 12 + 13 + 14 + 15 + 16 + 20 + 23 + 24 + 25 + 28)	830,157,896	804,101,321	66,412,632	

CCA – Main features of regulatory capital instruments and of other TLAC-eligible instruments

Quantitative / qualitative information					
1	Issuer	Saudi National Bank	Saudi National Bank	Issuer: NCB Tier 1 Sukuk Limited / Obligor: Saudi National Bank	SNB Capital
2	Unique identifier (eg Committee on Uniform Security Identification)	SNB AB	SA15KVQJQJ9	ISIN: XS2280537916	SA15PFKQJT31
3	Governing law(s) of the instrument	Saudi Arabia	Law of the Kingdom of Saudi Arabia	English Law	The instrument is governed by the laws of the Kingdom of Saudi Arabia
3a	Means by which enforceability requirement of Section 13 of the	N/A	N/A	N/A	N/A
4	Transitional Basel III rules	N/A	Additional Tier 1 Capital	Additional Tier 1 Capital	Additional Tier 1 Capital
5	Post-transitional Basel III rules	N/A	Eligible	Eligible	Eligible
6	Eligible at solo/group/group and solo	Group and Solo	Group and solo	Group and Solo	Group and Solo
7	Instrument type (refer to SACAP)	Ordinary shares	Subordinated Sukuk	Subordinated Sukuk	Subordinated Sukuk
8	Amount recognised in regulatory capital (currency in millions, as of	SAR 60,000 Mil	SAR 3,300 Mil	USD 1,250 Mil	SAR 1,000 Mil
9	Par value of instrument	SAR 10	SAR 1,000,000	USD 1,000	SAR 1,000,000
10	Accounting classification	Equity	Equity	Equity	Equity
11	Original date of issuance	12/11/2014	15/09/2022	26/01/2021	8/2/2023
12	Perpetual or dated	Perpetual	Perpetual	Perpetual	Perpetual
13	Original maturity date	N/A	N/A	N/A	N/A
14	Issuer call subject to prior SAMA approval	N/A	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	N/A	In compliance with Basel III, the first call date is 15 September 2027 which is equal to 5 years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.	In compliance with Basel III, the first call date is 26 July 2026 which is equal to [5.5] years following the date of the issuance; in addition (on any date on or after the date of issuance (whether or not a profit distribution date)), upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of outstanding face amount with any accrued and unpaid profit thereon.	Compliant with Basel requirements for call date to be equal to or greater than 5 years, as the first call date is 08 February 2028 which is equal to 5 years following the date of the issuance
16	Subsequent call dates, if applicable	N/A	In relation to the issuer call option, any profit distribution date following the first call date	The first call date and any date thereafter up to and including the first reset date which is 26 January 2027; any profit distribution dates thereafter	Any profit distribution date following the first call date
<i>Coupons / dividends</i>					
17	Fixed or floating dividend/coupon	N/A	Coupons Fixed	Coupons Fixed	Coupons Fixed
18	Coupon rate and any related index	N/A	5.00% p.a. from (and including) the date of issuance to (but excluding) the first call date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.003% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	3.50% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every six years thereafter to Relevant Six Year Reset Rate (as defined in the conditions of the instrument) + 2.889% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	5.8% from (including date of issuance) to (excluding the first optional call date), reset every five years thereafter.
19	Existence of a dividend stopper	N/A	Yes	Yes	Yes
20	Fully discretionary, partially discretionary or mandatory	N/A	Fully discretionary	Fully discretionary	Fully discretionary
21	Existence of step-up or other incentive to redeem	N/A	None	None	None
22	Non-cumulative or cumulative	N/A	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	N/A	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	None	None	None
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Writedown feature	N/A	Yes	Yes	Yes
31	If writedown, writedown trigger(s)	N/A	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Non-Viability Event
32	If writedown, full or partial	N/A	Full or partial write-down	Written down fully or partial	Full or partial write-down
33	If writedown, permanent or temporary	N/A	Permanent	Permanent	Permanent
34	If temporary write-down, description of writeup mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination	N/A	N/A	N/A	Direct, unsecured, unconditional and subordinated obligations
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	N/A	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including the Tier II subordinated sukukholders).	Subordinate and junior to all Senior Obligations
36	Non-compliant transitioned features	N/A	N/A	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A

Quantitative / qualitative information					
1	Issuer	Saudi National Bank	Saudi National Bank	SNB Funding Limited	SNB Sukuk Limited
2	Unique identifier (eg Committee on Uniform Security Identification)	ISIN: SA165VKOM1J2	SA16BFGOMK33	ISIN: XS098982815	ISIN: XS3121750619
3	Governing law(s) of the instrument	Law of the Kingdom of Saudi Arabia	Law of the Kingdom of Saudi Arabia	English Law	English Law
3a	Means by which enforceability requirement of Section 13 of the	N/A	N/A	N/A	N/A
4	Transitional Basel III rules	Additional Tier 1 Capital	Additional Tier 1 Capital	Tier 2 Capital	Tier 2 Capital
5	Post-transitional Basel III rules	Eligible	Eligible	Eligible	Eligible
6	Eligible at solo/group/group and solo	Group and Solo	Group and Solo	Group and Solo	Group and Solo
7	Instrument type (refer to SACAP)	Subordinated Sukuk	Subordinated Sukuk	Subordinated Notes	Subordinated Sukuk
8	Amount recognised in regulatory capital (currency in millions, as of	SAR 6,000 Mil	SAR 1,730 Mil	USD 1,250 Mil	USD 500 Mil
9	Par value of instrument	SAR 1,000,000	SAR 1,000,000	USD 1,000	USD 1,000
10	Accounting classification	Equity	Equity	Liability	Liability
11	Original date of issuance	21/11/2024	3/6/2025	24/06/2025	18/07/2025
12	Perpetual or dated	Perpetual	Perpetual	Dated	Dated
13	Original maturity date	N/A	N/A	24/06/2035	18/07/2036
14	Issuer call subject to prior SAMA approval	Yes	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the Issuer may call the Sukuk on any date from (and including) 21 November 2029 (being the first call date, and falling 5 years after the date of the issuance) to 21 May 2030 (being the first reset date), and any profit distribution date thereafter; in addition, upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.	In compliance with Basel III, the Issuer may call the Sukuk on any date from (and including) 3 June 2030 (being the first call date, and falling 5 years after the date of the issuance) to 3 December 2030 (being the first reset date), and any profit distribution date thereafter; in addition, upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.	In compliance with Basel III, the Issuer may call the Notes on 24 June 2030 (being the reset date) and each interest interest payment date thereafter; in addition, for tax reasons or a capital disqualification event (each, as further described in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.	In compliance with Basel III, the Issuer may call the Notes on 18 July 2031 (being the reset date) and each periodic distribution date thereafter; in addition, for tax reasons or a capital disqualification event (each, as further described in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.
16	Subsequent call dates, if applicable	As above - in relation to the issuer call option, any profit distribution date following the first call date.	As above - in relation to the issuer call option, any profit distribution date following the first call date.	As above - in relation to the issuer call option, any interest payment date following the reset date.	As above - in relation to the issuer call option, any periodic distribution date following the reset date.
	Coupons / dividends	Coupons	Coupons	Coupons	Coupons
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	6.00% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.0504% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	6.00% p.a. from (and including) the date of issuance to (but excluding) the first reset date; reset every five years thereafter to mid-swap rate for Saudi Riyal swap transactions with a maturity of five years + 1.093% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	6.00% payable semi-annually in arrear - interest payment dates of 24 June and 24 December in each year, commencing on the date of issuance and ending on the reset date; reset thereafter to the annual yield to maturity or interpolated yield to maturity (on the relevant day count basis) of the Reference Bond (as defined in the terms and conditions of the instrument) + 2.000% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other	5.938% payable semi-annually in arrear - periodic distribution dates of 18 January and 18 July in each year, commencing on the date of issuance and ending on the reset date; reset thereafter to the annual yield to maturity or interpolated yield to maturity (on the relevant day count basis) of the Reference Certificate (as defined in the terms and conditions of the instrument) + 1.850% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
19	Existence of a dividend stopper	Yes	Yes	No	No
20	Fully discretionary, partially discretionary or mandatory	Fully discretionary	Fully discretionary	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	None	None	None	None
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	N/A	N/A
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Writedown feature	Yes	Yes	Yes	Yes
31	If writedown, writedown trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
32	If writedown, full or partial	Full or partial write-down	Full or partial write-down	Full or partial write-down	Full or partial write-down
33	If writedown, permanent or temporary	Permanent	Permanent	Permanent	Permanent
34	If temporary write-down, description of writeup mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination	N/A	N/A	N/A	N/A
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including any Tier II subordinated sukukholders)	Subordinated. Unsubordinated and all subordinated payment obligations that are not junior or pari-passu to this instrument are senior to this instrument (including any Tier II subordinated sukukholders)	Subordinated. Unsubordinated payment obligations are senior to this instrument. This instrument will rank pari-passu with all other subordinated payment obligations of the issuer which do not rank or are not expressed by their terms to rank junior to the payment obligations of this instrument, and in priority to all claims of shareholders of the issuer.	Subordinated. Unsubordinated payment obligations are senior to this instrument. This instrument will rank pari-passu with all other subordinated payment obligations of the issuer which do not rank or are not expressed by their terms to rank junior to the payment obligations of this instrument, and in priority to all claims of shareholders of the issuer.
36	Non-compliant transitioned features	N/A	N/A	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A

Quantitative / qualitative information			
1	Issuer	SNB Funding Limited	SNB Tier 1 Sukuk Limited
2	Unique identifier (eg Committee on)	ISIN: XS3234006529	ISIN: XS3248258355
3	Governing law(s) of the instrument	English Law	English Law
3a	Means by which enforceability	N/A	N/A
4	Transitional Basel III rules	Tier 2 Capital	Tier 1 Capital
5	Post-transitional Basel III rules	Eligible	Eligible
6	Eligible at solo/group/group and solo	Group and Solo	Group and Solo
7	Instrument type (refer to SACAP)	Subordinated Notes	Subordinated Sukuk
8	Amount recognised in regulatory capital	SGD 425 Mil	USD 250 Mil
9	Par value of instrument	SGD 250,000	USD 1,000
10	Accounting classification	Liability	Equity
11	Original date of issuance	12/1/2025	12/9/2025
12	Perpetual or dated	Dated	Perpetual
13	Original maturity date	12/1/2035	N/A
14	Issuer call subject to prior SAMA approval	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	In compliance with Basel III, the Issuer may call the Notes on 1 December 2030 (being the reset date) and each interest payment date thereafter; in addition, for tax reasons or a capital disqualification event (each, as further described in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.	In compliance with Basel III, the Issuer may call the Sukuk on any date from (and including) 9 December 2031 (being the first call date, and falling 5 years after the date of the issuance) and any periodic distribution date thereafter; in addition, upon the occurrence of a Tax Event or a Capital Event (each, as defined in the terms and conditions of the instrument), the instrument may be redeemed in accordance with the terms and conditions of the instrument; in all such cases the redemption is in full at 100% of the outstanding face amount together with any accrued and unpaid profit thereon.
16	Subsequent call dates, if applicable	As above - in relation to the issuer call option, any interest payment date following the reset date.	As above - in relation to the issuer call option, any profit distribution date following the first call date.
Coupons / dividends		Coupons	Coupons
17	Fixed or floating dividend/coupon	Fixed	Fixed
18	Coupon rate and any related index	3.400% payable semi-annually in arrear - interest payment dates of 1 June and 1 December in each year, commencing on the date of issuance and ending on the reset date; reset thereafter to the annual yield to maturity or interpolated yield to maturity (on the relevant day count basis) of the Reference Bond (as defined in the terms and conditions of the instrument) + 1.717% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)	6.200% payable semi-annually in arrear - periodic distribution dates of 9 June and 9 December in each year, commencing on the date of issuance and ending on the reset date; reset thereafter to the annual yield to maturity or interpolated yield to maturity (on the relevant day count basis) of the Reference Certificate (as defined in the terms and conditions of the instrument) + 2.47% p.a. (subject to contractual fallback provisions in case of unavailability of the rate and other events set out in the terms and conditions of the instrument)
19	Existence of a dividend stopper	No	No
20	Fully discretionary, partially	Mandatory	Mandatory
21	Existence of step-up or other	None	None
22	Non-cumulative or cumulative	N/A	N/A
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional	N/A	N/A
28	If convertible, specify instrument	N/A	N/A
29	If convertible, specify issuer of	N/A	N/A
30	Writedown feature	Yes	Yes
31	If writedown, writedown trigger(s)	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down	Terms and conditions of the instrument provide the legal basis for SAMA to trigger write-down
32	If writedown, full or partial	Full or partial write-down	Full or partial write-down
33	If writedown, permanent or temporary	Permanent	Permanent
34	If temporary write-down, description	N/A	N/A
34a	Type of subordination	N/A	N/A
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument in the insolvency creditor hierarchy of the legal entity concerned).	Subordinated. Unsubordinated payment obligations are senior to this instrument. This instrument will rank pari-passu with all other subordinated payment obligations of the issuer which do not rank or are not expressed by their terms to rank junior to the payment obligations of this instrument, and in priority to all claims of shareholders of the issuer.	Subordinated. Unsubordinated payment obligations are senior to this instrument. This instrument will rank pari-passu with all other subordinated payment obligations of the issuer which do not rank or are not expressed by their terms to rank junior to the payment obligations of this instrument, and in priority to all claims of shareholders of the issuer.
36	Non-compliant transitioned features	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A

CC1 – Composition of regulatory capital

	Amounts	Source based on reference numbers/letters of the balance sheet under the regulatory scope of consolidation
SAR '000		
Common Equity Tier 1 capital: instruments and reserves		
Directly issued qualifying common share (and equivalent for non-joint stock companies) capital plus related stock surplus	123,701,800	h
Retained earnings	18,456,100	
Accumulated other comprehensive income (and other reserves)	46,054,170	
Directly issued capital subject to phase-out from CET1 capital (only applicable to non-joint stock companies)		
Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1 capital)	445,410	
Common Equity Tier 1 capital before regulatory adjustments	188,657,480	
Common Equity Tier 1 capital: regulatory adjustments		
Prudent valuation adjustments		
Goodwill (net of related tax liability)	(34,006,782)	
Other intangibles other than mortgage servicing rights (MSR) (net of related tax liability)	(4,921,691)	
Deferred tax assets (DTA) that rely on future profitability, excluding those arising from temporary differences (net of related tax liability)		
Cash flow hedge reserve	124,811	
Shortfall of provisions to expected losses		
Securitisation gain on sale (as set out in [CAP30.14])		
Gains and losses due to changes in own credit risk on fair valued liabilities		
Defined benefit pension fund net assets		
Investments in own shares (if not already subtracted from paid-in capital on reported balance sheet)	(2,586,243)	
Reciprocal cross-holdings in common equity		
Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		
Significant investments in the common stock of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)		
MSR (amount above 10% threshold)		
DTA arising from temporary differences (amount above 10% threshold, net of related tax liability)		
Amount exceeding the 15% threshold		
Of which: significant investments in the common stock of financials		
Of which: MSR		
Of which: DTA arising from temporary differences		
National specific regulatory adjustments		
Regulatory adjustments applied to Common Equity Tier 1 capital due to insufficient Additional Tier 1 and Tier 2 capital to cover deductions		
Total regulatory adjustments to Common Equity Tier 1 capital	(41,389,905)	
Common Equity Tier 1 capital (CET1)	147,267,575	
Additional Tier 1 capital: instruments		
Directly issued qualifying additional Tier 1 instruments plus related stock surplus	16,652,684	i
Of which: classified as equity under applicable accounting standards	16,652,684	
Of which: classified as liabilities under applicable accounting standards		
Directly issued capital instruments subject to phase-out from additional Tier 1 capital		
Additional Tier 1 instruments (and CET1 instruments not included in row 5) issued by subsidiaries and held by third parties (amount allowed in group additional Tier 1 capital)	288,857	
Of which: instruments issued by subsidiaries subject to phase-out		
Additional Tier 1 capital before regulatory adjustments	16,941,541	
Additional Tier 1 capital: regulatory adjustments		
Investments in own additional Tier 1 instruments		
Reciprocal cross-holdings in additional Tier 1 instruments		
Investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)		
Significant investments in the capital of banking, financial and insurance entities that are outside the scope of regulatory consolidation		
National specific regulatory adjustments		
Regulatory adjustments applied to additional Tier 1 capital due to insufficient Tier 2 capital to cover deductions		
Total regulatory adjustments to additional Tier 1 capital		
Additional Tier 1 capital (AT1)	16,941,541	
Tier 1 capital (T1 = CET1 + AT1)	164,209,115	
Tier 2 capital: instruments and provisions		
Directly issued qualifying Tier 2 instruments plus related stock surplus	7,783,763	
Directly issued capital instruments subject to phase-out from Tier 2 capital		
Tier 2 instruments (and CET1 and AT1 instruments not included in rows 5 or 34) issued by subsidiaries and held by third parties (amount allowed in group Tier 2)	96,286	
Of which: instruments issued by subsidiaries subject to phase-out		
Provisions	3,546,013	
Tier 2 capital before regulatory adjustments	11,426,061	
Tier 2 capital: regulatory adjustments		
Investments in own Tier 2 instruments		
Reciprocal cross-holdings in Tier 2 instruments and other TLAC liabilities		

Investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued common share capital of the entity (amount above 10% threshold)	
Investments in the other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation and where the bank does not own more than 10% of the issued common share capital of the entity: amount previously designated for the 5% threshold but that no longer meets the conditions (for G-SIBs only)	
Significant investments in the capital and other TLAC liabilities of banking, financial and insurance entities that are outside the scope of regulatory consolidation (net of eligible short positions)	
National specific regulatory adjustments	
Total regulatory adjustments to Tier 2 capital	
Tier 2 capital	11,426,061
Total regulatory capital (= Tier 1 + Tier2)	175,635,177
Total risk-weighted assets	830,157,896
Capital adequacy ratios and buffers	
Common Equity Tier 1 capital (as a percentage of risk-weighted assets)	17.74%
Tier 1 capital (as a percentage of risk-weighted assets)	19.78%
Total capital (as a percentage of risk-weighted assets)	21.16%
Institution-specific buffer requirement (capital conservation buffer plus countercyclical buffer requirements plus higher loss absorbency requirement, expressed as a percentage of risk-weighted assets)	4.66%
Of which: capital conservation buffer requirement	2.50%
Of which: bank-specific countercyclical buffer requirement	0.16%
Of which: higher loss absorbency requirement	2.00%
Common Equity Tier 1 capital (as a percentage of risk-weighted assets) available after meeting the bank's minimum capital requirements	8.58%
National minima (if different from Basel III)	
National minimum Common Equity Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A
National minimum Tier 1 capital adequacy ratio (if different from Basel III minimum)	N/A
National minimum Total capital adequacy ratio (if different from Basel III minimum)	N/A
Amounts below the thresholds for deduction (before risk-weighting)	
Non-significant investments in the capital and other TLAC liabilities of other financial entities	
Significant investments in the common stock of financial entities	
MSR (net of related tax liability)	
DTA arising from temporary differences (net of related tax liability)	
Applicable caps on the inclusion of provisions in Tier 2 capital	
Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to standardised approach (prior to application of cap)	3,546,013
Cap on inclusion of provisions in Tier 2 capital under standardised approach	9,390,503
Provisions eligible for inclusion in Tier 2 capital in respect of exposures subject to internal ratings-based approach (prior to application of cap)	
Cap for inclusion of provisions in Tier 2 capital under internal ratings-based approach	
Capital instruments subject to phase-out arrangements (only applicable between 1 Jan 2018 and 1 Jan 2022)	
Current cap on CET1 instruments subject to phase-out arrangements	N/A
Amount excluded from CET1 capital due to cap (excess over cap after redemptions and maturities)	N/A
Current cap on AT1 instruments subject to phase-out arrangements	N/A
Amount excluded from AT1 capital due to cap (excess over cap after redemptions and maturities)	N/A
Current cap on Tier 2 instruments subject to phase-out arrangements	N/A
Amount excluded from Tier 2 capital due to cap (excess over cap after redemptions and maturities)	N/A

CC2 – Reconciliation of regulatory capital to balance sheet

SAR '000	Balance sheet as in published financial statements	Under regulatory scope of consolidation	Reference
	31 Dec 2025	31 Dec 2025	
Assets			
Cash and balances at central banks	44,923,237	44,923,237	
Due from banks and other financial institutions, net	22,970,831	22,970,831	
Investments, net	320,004,190	320,004,190	
Financing and advances, net	729,310,906	729,310,906	
Positive fair value of derivatives	26,890,803	26,890,803	
Property, equipment and software, net	13,065,976	13,065,976	(a)
Goodwill	34,006,782	34,006,782	(b)
Intangible assets	4,921,688	4,921,688	
Right of use assets, net	967,447	967,447	
Other assets	12,969,693	12,969,693	
Total Assets	1,210,031,553	1,210,031,553	
Liabilities			
Due to banks and other financial institutions	190,189,039		
Customers' deposits	636,094,377		
Debt securities issued	132,642,363	7,783,763	
Negative fair value of derivatives	25,373,376	25,373,376	
Other liabilities	21,905,150		
Total liabilities	1,006,204,305	33,157,139	
Shareholders' equity			
Share capital	60,000,000	60,000,000	
Share premium	63,701,800	63,701,800	
Tier 1 Sukuk	17,652,684	17,652,684	
Of which: amount eligible for CET1	123,701,800	123,701,800	(h)
Of which: amount eligible for AT1	16,941,541	16,941,541	(i)
Treasury shares	(2,586,243)	(2,586,243)	
Statutory reserve	52,814,275	52,814,275	
Other reserves (cumulative changes in fair values)	1,527,733	1,527,733	
Employees' share-based payments reserve	475,359	475,359	
Retained earnings	18,456,100	18,456,100	
Foreign currency translation reserve	(8,763,198)	(8,763,198)	
Non-controlling interests	548,737	548,737	
of which Common share capital issued by subsidiaries and held by third parties (amount allowed in group CET1)	445,410	445,410	
Total shareholders' equity	203,827,248	203,827,248	

Increased overall balance sheet primarily due to lending including retail and corporate, and investments. Balance sheet also grew in capital, primarily through organic income, tier 1 and tier 2 issuances.

Retained earnings and other reserves are adjusted for regulatory provisions

CDC: Capital distribution constraints

		CET1 capital ratio that would trigger capital distribution constraints (%)	Current CET1 capital ratio (%)	Constraints imposed
1	CET1 minimum requirement plus Basel III buffers (not taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	9.16%	17.74%	
2	CET1 capital plus Basel III buffers (taking into account CET1 capital used to meet other minimum regulatory capital/ TLAC ratios)	9.16%	17.74%	
		Leverage ratio that would trigger capital distribution constraints (%)	Current leverage ratio (%)	
3	[Applicable only for G-SIBs] Leverage ratio	N/A	N/A	

LIA: Explanations of differences between accounting and regulatory exposure amounts

In on-balance sheet amounts, there are no differences between carrying values as reported in published financial statements and carrying values under scope of regulatory consolidation. However, off-balance sheet and derivatives amounts have been reported as notional figures in published financials while credit equivalent amounts have been considered under regulatory scope framework after applying Credit Conversion Factors (CCF) in off-balance sheet items including adjustments in derivative portfolio.

For valuation methodologies please refer to notes 2.6, and 34 of the Audited Financial Statements for the year ended 31 December 2025.

LI1 - Differences between accounting and regulatory scopes of consolidation and mapping of financial statements with regulatory risk categories

	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation	Carrying values of items:				
			Subject to credit risk framework	Subject to counterparty credit risk framework	Subject to the securitization framework	Subject to the market risk framework	Not subject to capital requirements or subject to deduction from capital
SAR '000							
Assets							
Cash and balances with SAMA	44,923,237	44,923,237	44,923,237				
Due from banks and other financial institutions, net	22,970,831	22,970,831	22,970,831				
Investments, net	320,004,190	320,004,190	314,891,361		14,520,127	5,112,829	
Financing and advances, net	729,310,906	729,310,906	729,310,906				
Positive fair value of derivatives, net	26,890,803	26,890,803		26,890,803			
Property, equipment, and software, net	13,065,976	13,065,976	13,065,976				
Goodwill	34,006,782	34,006,782					34,006,782
Intangible assets	4,921,688	4,921,688					4,921,688
Right of use assets, net	967,447	967,447	967,447				
Other assets	12,969,693	12,969,693	12,969,693				
Total assets	1,210,031,553	1,210,031,553	1,139,099,451	26,890,803	14,520,127	5,112,829	38,928,473
Liabilities							
Due to banks and other financial institutions	190,189,039						190,189,039
Customers' deposits	636,094,377						636,094,377
Debt securities issued and term loans	132,642,636						132,642,636
Negative fair value of derivatives, net	25,373,376	25,373,376		25,373,376			
Other liabilities	21,905,150						21,905,150
Total liabilities	1,006,204,305	25,373,376		25,373,376			958,925,779

LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements

SAR '000		Total	Items subject to:			
			Credit risk framework	Securitization framework	Counterparty credit risk framework	Market risk framework
1	Asset carrying value amount under scope of regulatory consolidation (as per template LI1)	1,210,031,553	1,139,099,451	14,520,127	26,890,803	5,112,829
2	Liabilities carrying value amount under regulatory scope of consolidation (as per template LI1)	25,373,376			25,373,376	
3	Total net amount under regulatory scope of consolidation	1,184,658,177	1,139,099,451	14,520,127	1,517,427	5,112,829
4	Off-balance sheet amounts	120,595,857	120,595,857			
5	Difference due to Potential Future Exposure	8,520,228			8,520,228	
6	Differences due to different netting rules, other than those already included in row 2	15,441,026			15,441,026	
7	Differences due to consideration of provisions	7,355,988	7,355,988			
8	Differences due to Goodwill	(38,928,470)				
9	Differences due to prudential filters	3,442,222	3,442,222			
10	Other adjustment*	(5,112,829)				(5,112,829)
11	Exposure amounts considered for regulatory purposes	1,295,972,198	1,270,493,518	14,520,127	25,478,680	

*Exposure at default is not calculated under the market risk framework, resulting in a difference between carrying values and exposure amounts considered for regulatory purposes. Therefore, the total amount of carrying values according to the market risk framework is deducted in the final line Other adjustment above.

ENC: Asset encumbrance

SAR '000	Encumbered assets	Unencumbered assets	Total
Cash Collateral Posted	5,660,810		5,660,810
Sovereign debt	4,425,000		4,425,000
Equity securities			
Repurchase Agreements	113,975,275		113,975,275
Others		1,085,970,468	1,085,970,468
Total	124,061,085	1,085,970,468	1,210,031,553

Overall balance sheet increase driven by increased lending and cash and balances with SAMA

REMA - Remuneration Governance

Remuneration Governance and Risk

The Board of Directors of the Bank (SNB) is responsible for overseeing and approving the overall design of the reward framework and ensuring that the system is working effectively.

SNB Board has a Nomination and Remuneration Committee (NRC) whose objective is to support and advise the Board on matters concerning remuneration, nomination of executive roles, corporate governance and Human Resource activities.

SNB's Board of Directors oversees its subsidiaries and affiliates through representation on the boards of directors of these subsidiaries and affiliates. The election and removal of SNB representation in subsidiaries/affiliate boards shall be recommended by the relevant NRCs and shall be approved by the Board of SNB. The input shall be provided from Group Chief Executive Officer when selecting SNB's executives to represent SNB in other subsidiaries/affiliates. The NRC comprises of at least three Non-Executive Directors.

All NRC members have the required experience and expertise in relation to remuneration, either through their qualification or through experience as members of committees/boards of other entities, which enable them to achieve effective governance of the SNB remuneration system. The NRC has a regular meeting cycle. The full list of responsibilities of the NRC is outlined in its Charter; however, below listed are key responsibilities of NRC in terms of SNB's Remuneration functions:

- Make recommendations to the Board that promote appropriate remuneration policies and practices for SNB and oversee that these remuneration policies and practices are in the interest of the shareholder and do not induce participation in taking high-risk transactions to achieve short-term profits.
- Coordinate with HR to develop a succession and replacement policy and ensure the compliance of the senior management with such policy.
- Make recommendations to the Board in respect of the remunerations of the senior management in accordance with the approved policy.
- Review the structure of the senior management and provide recommendations regarding changes that may be made to such structure.
- Ensure regular review of the remuneration policy, and assess its effectiveness in achieving the set objectives
- Ensure that the Bank's incentive system is reviewed periodically and does not encourage participation in high risk operations to achieve short-term profits and is consistent with the Bank's approved risk policy
- Recommend to the Board for its approval of the pool of fund required for the payment of short-term Awards.
- Review the long-term Incentive plans and the participation of senior management in such plans and recommend the required approvals of the Board

The SNB Remuneration policy covers but is not limited to the following:

- SNB, in Kingdom of Saudi Arabia (KSA) and its overseas branches/offices.
- All remuneration elements: basic salary; fixed allowances; job-based allowances; employee benefits; recognition schemes, variable pay - short-term and long-term
- Key determinants of remuneration: job grade; individual performance, business and corporate performance; risk alignment; remuneration and market conditions; and regulatory requirements.

The description of Material Risk Takers at SNB is the employees whose roles entail risk-taking that may lead to material loss including, but not limited to, those in businesses such as Treasury, Retail and Corporate banking, etc. Material Risk Controllers are employees whose faulty actions, lack of due diligence or negligence in risk controlling functions may lead to material loss, including, but not limited to, those in Control and Support functions; while senior management are those executive persons, including an executive director, having authority and responsibility for planning, directing and controlling the activities of the bank, directly or indirectly and those whose appointment requires regulatory approval.

Remuneration Philosophy and Strategy

The SNB remuneration philosophy and strategy sets the direction for future investment in Remuneration with a focus to:

- Attract, retain and engage a high-performance workforce.
- Appropriate management of fixed pay.
- Reinforce a business culture based on high standards of performance.
- Allow differentiation based on performance "Pay-for-Performance".

Remuneration Structure

The remuneration policy provides the following components of remuneration:

Fixed Pay – comprising of:

- Base remuneration: includes basic pay and other fixed allowances.
- Job-related remuneration: includes all job/position related allowances.
- Other remuneration: includes statutory and other benefits.

Variable Pay – comprising of:

Short-Term Incentive: includes annual performance bonus and sales incentives.

Long-Term Incentive: includes grants in shares

Remuneration and Risk

The purpose of the remuneration risk alignment framework is to ensure that variable remuneration for material risks is aligned to the risk profile of the Bank. In its endeavor to do so, SNB considers both quantitative measures and qualitative measures in the risk assessment process.

SNB undertakes risk assessment to review financial and operational performance against the business strategy and risk performance prior to the distribution of variable pay. Variable pay will consider the performance of SNB which is considered within the context of the Bank's risk management framework.

Ex-ante adjustments shall be applied before variable remuneration is awarded and adjust variable compensation for risk if the performance outcomes are achieved outside acceptable bounds of the risk appetite set by the Bank's management. The Bank also uses an ex-post risk assessment framework to back-test the actual performance against risk assumptions.

Linking and Adjusting Remuneration to Performance

SNB aims to foster a high-performance culture by ensuring that employees are provided with clear performance objectives, ongoing coaching and feedback, professional development and recognition for superior work. The performance of all employees is assessed periodically against agreed performance goals and the performance management system requires line managers to assess each employee's contribution as well as their compliance with risk management processes and controls, teamwork, behavioral competencies.

Short term variable pay is paid from the bonus pool which derives from a percentage funding against the Bank's adjusted net profit and is determined with reference to corporate (firm-wide) performance, performance of the business vertical and employee's performance against agreed goals and objectives taking account of the existing and potential risks in the business.

All variable pay is subject to claw back provisions. Deferral of Short-term variable pays of senior managers and material risk-takers and controllers is administered under a bonus deferral scheme as part of the Bank's risk aligned compensation plan, duly approved by the Board. Under this plan, a percentage of their bonus amount has been deferred for a number of years, depending on the position's seniority and positions long term impact on the organization. The deferred bonus shall vest in cash, on a pro-rata basis, over the vesting period, and is subjected to a forfeiture and performance criterion.

SNB also operates a long-term incentive plan for executives who influence the long-term success of the Bank. The purpose of the plan is to retain promising executives and tie their contribution with the shareholders' interests in the long term. The plan award shall be in the form of SNB ordinary shares, the performance period shall be (3) calendar years commencing on the first day of the calendar year in which an award is made, and the size of award will be based on criticality and the level of the role. The final plan payout is subject to forfeiture criteria as per the Bank's approved policy

REM1 - Remuneration awarded during the financial year

Remuneration amount		a	b
		Senior management	Other material risk-takers
1	Number of employees	23	232
2	Total fixed remuneration (3 + 5 + 7)	55,087	307,009
3	Of which: cash-based	48,871	264,001
4	Of which: deferred	-	-
5	Of which: shares or other share-linked instruments	-	-
6	Of which: deferred	-	-
7	Of which: other forms	6,216	43,008
8	Of which: deferred	-	-
9	Number of employees	23	232
10	Total variable remuneration (11 + 13 + 15)	100,761	293,646
11	Of which: cash-based	59,046	178,155
12	Of which: deferred	22,341	70,913
13	Of which: shares or other share-linked instruments	41,714	115,492
14	Of which: deferred	41,714	115,492
15	Of which: other forms	-	-
16	Of which: deferred	-	-
17	Total remuneration (2 + 10)	155,848	600,656

Item #1: Number of employees as of end of December, 2025

Item #9: Number of employees as of end of December, 2025

Item # 11: Full Bonus 2025 + awarded dividends in 2025

Item # 12: Full deferred from Bonus 2025 + awarded dividends in 2025

Variable remuneration on accrual basis

REM2 - Special payments

Special payments	Guaranteed bonuses				Sign-on awards				Severance payments			
	Number of employees		Total amount		Number of employees		Total amount		Number of employees		Total amount	
Senior management	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Other material risk-takers	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

REM3 - Deferred remuneration

	a	b	c	d	e
Deferred and retained remuneration	Total amount of outstanding deferred remuneration	Of which: Total amount of outstanding deferred and retained remuneration exposed to ex post explicit and/or implicit adjustment	Total amount of amendment during the year due to ex post explicit adjustments	Total amount of amendment during the year due to ex post implicit adjustments	Total amount of deferred remuneration paid out in the financial year
Senior management					
Cash	48,576	48,576	NA	NA	9,141
Shares	103,659	103,659			11,927
Cash-linked instruments					
Other					
Other material risk-takers					
Cash	165,734	165,734	NA	NA	38,113
Shares	300,170	300,170			51,644
Cash-linked instruments					
Other					
Total	618,139	618,139	NA	NA	110,825

Column a: Total outstanding deferred of Performance Bonuses + Employee Equity Plans

CRA – General information about credit risk

A. Business model and credit risk profile

Credit risk is the risk that a customer or counterparty of SNB fails to meet its obligations in accordance with the relevant agreed terms causing SNB to incur a financial loss. Given the business model, credit risk of the Bank emerges primarily from three sources – (i) financing activities, (ii) investments, and (iii) over the counter derivatives. SNB manages its credit exposure through various tools and functions e.g. target market and risk acceptance criteria (TM & RAC), credit limits, collateral arrangements, exposure management of derivatives book et cetera. Overall credit risk management is governed by the credit and investment policies of the Bank and various bulletins from time to time. Acceptance of specific credit initiation is undertaken either on individual customer basis (mainly in corporate) or on credit program basis (mainly in retail). All acceptances of credit risk are undertaken through the approval by appropriate risk authority levels – either on individual basis or on a program basis that are independent from the origination.

B. Criteria and approach used for defining credit risk management policy and for setting credit risk limits

Credit Risk Policies - There are two main credit risk management policies, viz. Wholesale Bank-Credit Policy Manual and Retail Banking Group Credit Policies.

The Wholesale Bank Credit Policy Manual covers core credit policies for identifying, measuring, approving / managing, and reporting credit risk in the Wholesale Bank. In addition, the Wholesale bank credit policy standard has following two notable features.

Credit Program is used to approve a series of credit proposals where the facility type and associated risks are homogenous in character or for transaction types that require a specific set of TM & RAC such as real estate financing, and project finance.

Credit Procedures are mainly addressed through guideline credit bulletins appendices approved by the Head of Wholesale Credit Risk Management (HWCRC) when the processes are substantially controlled by Wholesale Risk Management. Procedures that are substantially controlled by other business or support units will be written by those units and reviewed by other stakeholders including Wholesale Credit Risk Management.

The Retail Banking Group Credit Policies encompasses the following governance policies.

- Retail Banking Credit Policy (RBCP)

is the core credit policy for identifying, measuring, approving and reporting credit risk for the Retail Finance portfolio and which also provides the glossary/definition of processes covered by policy documents, broad process descriptions and responsibilities, definition of risk measurement and credit decision-making approaches (e.g., scoring). It also includes the credit discretionary authorities granted to senior risk officers for credit decision making. RBCP is owned by Retail Risk Management and approved by the Board of Directors

- Credit Policy Manual (CPM)

defines detailed credit policies for Auto Lease, Credit Cards, Personal Finance, and Residential Finance and Business Banking at the product level, which includes authorities at operational level, product level portfolio management & processes, and score cut-offs. Development, approval and custodianship of CPM lies with Retail Risk Management. Any amendment/addition of policies are communicated through Credit Bulletins to all stakeholders, which are incorporated in the respective product CPM on its annual revision. CPM is approved annually upon expiry

- Retail Collections Guideline and Strategy Framework (RCGSF)

defines the Collections Policies and Strategies covering both the Collections and Recovery functions. It also includes the discretionary authorities afforded to Collections Management team to maximize recoverability. Collections and Recoveries functions are essential to Retail Finance operation because of the key contribution they play in preserving the quality of the Retail asset portfolio, controlling past due bucket inventories and minimizing credit losses.

The Bank strives to maintain the credit quality of its financing assets through effective risk management practices with an objective to manage loss provisioning, defaults, and write-offs which, in turn, would help the Bank in achieving its financial targets within overall strategy.

Credit Concentration Risk Management Policy The policy provides a framework that facilitates effective management of concentration at the bank wide level. The policy defines concentration risk as any single credit exposure or group of exposures with the potential to produce losses large enough to threaten SNB's ability to maintain its financial performance. The framework functions under the following principles to identify, assess, control, and mitigate concentration risk:

- Setting parameters which identify sources of concentration risk.
- Determination of measurement methods and acceptable levels of concentration.
- Establishment of concentration risk monitoring and reporting mechanism.

- Development of a mitigation plan in order to treat deviations of acceptable concentration levels in light of the bank's strategy and future plans.

The main objective of the credit concentration policy is to maintain a well-diversified credit loans and investments portfolios. This entails determining the adequate compensation for acceptable concentration levels.

Concentration risk parameters are defined in parallel with SNB's overall strategy, risk appetite and normal course of credit risk management. These parameters include, but are not limited to, business segments, economic sectors, loan products, lending currencies, and maturities.

SNB carries out a regular analysis of its portfolio and exposures and takes into account the results of these analyses in setting limits for identified material concentration parameters, thresholds or similar concepts for concentration risk management. Subsequently, limits are monitored against actual exposures following these steps:

- Collecting and aggregating input data relevant to identified concentration parameters.
- Analyzing data and measure the current concentration levels against the approved concentration limits.
- Reporting the status of the credit portfolio in comparison to the concentration limits.
- Assess the results of the report and study/analyze the rationale of the movements within the portfolio.
- Determining whether any actions are needed in cases of breaches or non-breaches.

The credit concentration risk management policy ensures that corrective action plan is communicated to the adequate level of authority. The aim is to instill accountability and enforceability of action plans in a timely manner.

Target Market and Risk Acceptance Criteria (TM & RAC) - When originating a credit relationship and during regular reviews of such relationship, SNB sets a carefully screened Target Market (TM) and an appropriate set of Risk Acceptance Criteria (RAC) to determine the type of client/segment (TM) and type of exposure (RAC). The principle of overall risk acceptance, among other factors, takes into consideration two important risk factors, viz. (i) macroeconomic risk and (ii) concentration risk. First, the macroeconomic risk is carefully assessed through annual review of industry trends and the short and medium terms impacts are conducted with the Economics Department. Second, the concentration risk, which is relevant in case of corporate credit portfolio, is managed specific guidelines that focus on maintaining a diversified portfolio to avoid excessive concentration of risk which is implemented through customer and sector limit structures. On bi-annual basis or earlier if deemed necessary, Risk and business conduct alignment review sessions to continuously monitor portfolio and segment limits and concentrations. Further, all interrelated companies controlled by the same management and/or ownership structure are treated as one entity/group

C. Structure and organization of the credit risk management and control function

Credit risk is managed through a Board approved framework of policies and procedures covering the approval, the measurement and the management of credit risk. All credit exposure limits are approved within a defined credit approval authority framework. The Bank manages its credit exposures following the principle of diversification across products, country limits, industries, client and customer segments, and through continuous assessment of the counterparties' creditworthiness.

Wholesale Credit - The Wholesale Credit Risk function primarily comprises of (i) undertaking independent reviews and approval of Wholesale credit proposals and (ii) developing and maintaining the Bank's credit policy. The Wholesale credit risk function, led by the Head of Wholesale Credit Risk Management (HWCER), includes senior credit officers based regionally with industry specializations Kingdom wide. These senior officers fulfill an essential role in the risk approval and control process given their expertise and independence from business line management. They objectively scrutinize and approve credit proposals within the limits set by the credit policy of the Bank. Approval of the Executive Committee and/or Board is required to extend facilities to the customer above certain risk-based thresholds.

Retail Credit - The Retail Risk function is led by the Head of Retail Risk Management, who with the support of a team of four Department Heads i.e. (i) Secured Credit Policy (Auto Lease, Residential Finance), (ii) Unsecured Credit Policy (Credit Cards, Personal Finance, and Business Banking), (iii) Quality and Governance and (iv) Portfolio and Strategy, are mandated to manage the entire credit lifecycle of the Retail Finance portfolio. Secured and Unsecured Credit Policies have an overall responsibility for establishing retail credit policies and ensuring that lending practices align with the Bank's strategic goals and regulatory requirements to enhance profitable portfolio growth. The department proactively designs policies to minimize potential risks while maintaining the Bank's competitive edge. Portfolio and Strategy leads the integration and optimization of risk management strategies across all retail lending portfolios, utilizing advanced analytics to enhance decision-making and portfolio performance. It focuses on developing risk analyses and monitoring frameworks for the credit initiation and collection stages, facilitating the tailored adjustment of credit policies, and providing strategic guidance to exceed financial targets in collections while insuring the portfolio is behaving within the approved risk appetite. The Quality and Governance department, aims to ensure the highest standards of quality and governance in retail risk processes, maintains compliance with all regulatory requirements and internal policies and strengthens the risk control functions by conducting periodic reviews to ensure the proper implementation of policies and compliance with approved programs lending risk acceptance criteria

D. Relationships between the credit risk management, risk control, compliance and internal audit functions

The relationship is based on clear separation between the credit risk management, credit controls, compliance and internal audit. Each of the aforementioned functions has a well-defined mandate. This is to ensure full independence of each of these functions organizationally and functionally. However, all these functions operate in a coordinated manner to ensure that the Bank maintains the desired risk quality of the various credit portfolios.

Credit Risk Management, as mentioned above, is responsible for conducting credit assessments, and credit approval within the Bank's tolerance level, risk appetite and policy standard.

Credit Control is responsible for ensuring appropriate documentation for all facilities throughout the credit life cycle. Any deficiencies in the credit workflow and documentation are escalated to the appropriate business groups as part of quality assurance and process control. In addition, limits and collaterals

are maintained and monitored by credit control to ensure no breaches of limits and adequate coverage of collaterals.

Compliance Division is responsible for implementing local regulatory and statutory requirements pertaining to credit risk and assisting the Board, the Audit Committee, Risk Committee and Senior Management in managing and controlling SNB's compliance risk.

Internal Audit Division, which reports directly to the Audit Committee is responsible for providing an independent, objective assurance and consulting service to the Audit Committee designed to improve SNB's credit practices and operations. Internal Audit conducts a comprehensive and independent review of credit process at least on annual basis.

E. Scope and main content of the reporting on credit risk exposure and on the credit risk management function to the executive management and to the board of directors

The scope of credit risk management and its exposures includes SNB and its consolidated subsidiaries, which are as below.

- SNB and its branch in Bahrain, London, UAE and Singapore.
- SNB Capital and its consolidated subsidiaries
- Turkiye Finans, SNB's subsidiary in Turkey

As mentioned earlier, the credit risk is managed through a set of policies and procedures covering the approval, the measurement and the management of credit risk. The Bank manages its credit exposures following the principles of diversification across products, country limits, industries, client and customer segments, and through continuous assessment of the counterparties' creditworthiness. Various reports intended to provide a comprehensive assessment of credit risk to the Board and senior management include the following:

- Quarterly Risk Reports - complete overview of bank's risk exposures presented to the Risk Committee of the Board at the Group, business groups and subsidiaries level.
- Credit Remedial Management Committee - detailed credit portfolio performance presented to senior management on monthly basis.
- Risk Appetite - monitoring key credit risk indicators, limits, and threshold on quarterly basis.
- Concentration Risk Report - review exposures in the predefined parameters against concentration limits on a quarterly basis.

CR1: Credit quality of assets

	Gross carrying values of		Allowances/ impairments	Of which ECL accounting provisions for credit losses on SA exposures		Of which ECL accounting provisions for credit losses on IRB exposures	Net values (a+b-c)
	Defaulted exposures	Non-defaulted exposures		Allocated in regulatory category of Specific	Allocated in regulatory category of General		
SAR '000							
Loans	5,001,326	729,942,603	7,355,988	4,074,477	3,281,511		727,587,941
Debt Securities		289,208,261	34,037		34,037		289,174,224
Off-balance sheet exposures	5,412,582	172,674,692	514,860	285,734	229,126		177,572,414
Total	10,413,908	1,191,825,556	7,904,885	4,360,211	3,544,674		1,194,334,579

CR2: Changes in stock of defaulted loans and debt securities

SAR '000

1	Defaulted loans and debt securities at end of the previous reporting period	7,692,328
2	Loans and debt securities that have defaulted since the last reporting period	3,893,693
3	Returned to non-defaulted status	(389,674)
4	Amounts written off	(6,121,686)
5	Other changes	(73,335)
6	Defaulted loans and debt securities at end of the reporting period (1+2-3-4+5)	5,001,326

Decrease in item 2 given less defaulting loans compared to previous period disclosure.

CR3: Credit risk mitigation techniques – overview

SAR '000	Exposures unsecured: carrying amount	Exposures to be secured	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
Loans	659,397,304	68,190,637	68,190,637		
Debt securities	289,174,224	3,904,756		3,904,756	
Total	948,571,528	72,095,392	68,190,637	3,904,756	
Of which defaulted	5,001,326				

CR4: Standardised approach – credit risk exposure and credit risk mitigation (CRM) effects

SAR '000	Exposures before CCF and CRM		Exposures post-CCF and post-CRM		RWA and RWA density	
Asset classes	On-balance sheet amount	Off-balance sheet amount	On-balance sheet amount	Off-balance sheet amount	RWA	RWA density
Sovereigns and their central banks	283,291,431	4,500,000	281,979,098	450,000	13,203,331	5%
Non-central government public sector entities	138,847	8,507	138,847	3,559	62,074	44%
Multilateral development banks	2,613,929		2,594,794		330,376	13%
Banks	66,312,110	36,140,064	65,768,281	26,600,689	37,110,901	40%
Of which: securities firms and other financial institutions						
Covered bonds						
Corporates	330,261,240	215,569,472	288,737,020	81,240,395	336,632,473	91%
Of which: securities firms and other financial institutions						
Of which: specialized lending	38,126,878	16,396,627	38,126,878	6,566,232	53,013,614	119%
Subordinated debt, equity and other capital	8,349,653		5,821,231		11,290,806	194%
Retail	156,057,572	18,261,289	142,882,682	2,710,799	106,646,203	73%
MSMEs	8,340,151	5,771,130	8,340,052	1,274,064	7,210,587	75%
Real estate	224,625,723	3,059,219	224,625,723	305,922	117,212,934	52%
Of which: general RRE	196,127,257		196,127,257		78,158,953	40%
Of which: IPRRE	32,585		32,585		24,439	75%
Of which: general CRE	153,767		153,767		107,173	70%
Of which: IPCRE	10,011,712		10,011,712		11,012,883	110%
Of which: land acquisition, development and construction	18,300,402	3,059,219	18,300,402	305,922	27,909,486	150%
Defaulted exposures	10,477,443	5,412,582	2,531,028	3,682,384	7,434,695	120%
Other assets	26,438,514		26,438,514		18,982,927	72%
Total	1,108,566,464	282,951,133	1,041,517,218	114,993,748	648,906,720	56%

CR5: Standardised approach – exposures by asset classes and risk weights

	0%	20%	25%	30%	40%	45%	50%	60%	75%	80%	85%	100%	110%	130%	150%	250%	Other	Total credit exposure amount (post-CCF and post-CRM)
1 Sovereigns and their central banks	246,903,960	23,770,362					6,844,909					4,675,991			233,875			282,429,098
2 Non-central government public sector entities		90					124,112										18,204	142,406
3 Multilateral development banks	942,915	1,651,879																2,594,794
4 Banks		9,583,864		63,611,422	28		10,644,974		10,110			3,994,527			4,524,070			92,368,969
Of which: securities firms and other financial institutions																		-
5 Covered bonds																		-
6 Corporates		8,808,181					42,962,629		13,635,654	318,387	65,888,314	210,107,829		27,947,269	309,150			369,977,414
Of which: securities firms and other financial institutions																		-
Of which: specialised lending		-								318,387		16,427,455		27,947,269				44,693,111
7 Subordinated debt, equity and other capital												-			2,560,707	28,423	3,232,101	5,821,231
8 Retail						1,542,061			137,276,032			2,774,618					196,119	141,788,830
MSMEs									9,614,116									9,614,116
9 Real estate		125,154,619	96,994	93,896	7,238	10,829	8,952	120,545	70,777,735			37,282	10,011,712		18,606,324		5,519	224,931,645
Of which: general RRE		125,154,619	96,994	93,896	7,238	10,829	8,952	4,060	70,777,735			37,282					5,519	196,197,124
Of which: no loan splitting applied		321,136	96,994	93,896	7,238	10,829	8,952	4,060	5,790			37,282					5,519	591,697
Of which: loan splitting applied (Secured)		124,833,483																124,833,483
Of which: loan splitting applied (Unsecured)									70,771,944									70,771,944
Of which: IPBRE																		-
Of which: general CRE								116,485										116,485
Of which: no loan splitting applied								116,485										116,485
Of which: loan splitting applied (Secured)																		-
Of which: loan splitting applied (Unsecured)																		-
Of which: IPCRE													10,011,712					10,011,712
Of which: land acquisition, development and construction															18,606,324			18,606,324
10 Defaulted exposures							451,658					210,6829			3,401,358			5,959,844
11 Other assets	7,455,588	-										18,982,927						26,438,514

SAR '000

Risk weight	On-balance sheet exposure	Off-balance sheet exposure (pre-CCF)	Weighted average CCF* Exposure (post-CCF and post CRM)
Less than 40%	466,021,678	36,438,583	66%
40-70%	66,000,402	17,362,403	19%
75%	221,694,024	17,389,048	23%
80- 85%	62,531,574	38,259,772	31%
90-100%	228,178,393	149,216,513	43%
105-130%	31,644,673	16,275,346	40%
150%	27,150,015	4,875,709	64%
250%	28,423		0%
400%			
1250%			
Total exposures	1,103,249,183	279,817,374	

*Weighting is based on off-balance sheet exposure (pre-CCF).

CRB: Additional disclosure related to the credit quality of assets

The scope and definitions of “past due” and “impaired” exposures used for accounting purposes and the differences, if any, between the definition of past due and default for accounting and regulatory purposes.

Definition of “Past due”: When a payment obligation on a credit account is not fulfilled in a timely fashion, the account should be considered ‘past due’.

In case of loan accounts where there is a clear date of payment, each day the account is past due should be counted until the obligation is met. The number of days that the obligor is past due at a given point in time should be referred to as ‘days past due’.

Impaired

A loan is considered impaired when management determines that it is more probable that the Bank will not be able to collect all amounts due according to the original contractual terms or the equivalent value. Part c will further describe the methods used to determine impairments.

The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this.

The 90 days past due rule will generally apply unless the Bank has strong documentary evidence to support a different classification. Substantial scrutiny is required to ensure that such evidence is in place and fully documented.

Description of methods used for determining impairments.

A loan is considered to be impaired (non-performing) when management determines that it is more probable that the Bank will not be able to collect all amounts due according to the original contractual terms or the equivalent value. Objective evidence that a loan or account is impaired includes:

- Significant financial difficulties
- A material breach of contract, such as a default or delinquency in interest or principal payments beyond 90 days
-
- Change in credit classification to II (Substandard) or worse
- The Bank has no option but to grant the borrower concessions that it would not otherwise consider
- The Bank reaches a conclusion that the borrower is likely to enter bankruptcy or a similar financial reorganization
- The disappearance of an active market for a financial asset (e. g. Sukuk, bond) because of financial difficulties at the issuer level.

The Bank’s own definition of a restructured exposure.

A restructuring applies to a single payment or multiple payment obligations being extended for more than 90 days beyond the maximum tenor approved for that facility.

A restructuring or forbearance occurs on transactional basis when:

- A counterparty is experiencing financial difficulties in meeting its financial commitments; and
- A bank grants a concession that it would not otherwise consider

Quantitative disclosures: the required information is described in the below tables from section (e) to (h)

e. The following tables breakdown of On-Balance sheet, Off-Balance sheet and Derivatives exposures by geography, industry and maturity:

	Geographic Breakdown (SAR '000)							Total
	Saudi Arabia	Other GCC & Middle East	Europe	Turkey	North America	South East Asia	Other countries	
Sovereigns and central banks	237,119,855	6,142,478	706,426	9,091,737	22,965,352	4,328,006	2,109,941	282,463,796
Public Sector Entities				142,406				142,406
Multilateral Development banks (MDBs)			2,594,794					2,594,794
Banks	18,793,917	26,293,138	16,202,024	2,514,316	9,959,178	1,844,680	22,671,277	98,278,529
Covered Bonds								
Subordinated debt, equity and other capital instruments	4,765,758	791,278	8,340	4,840	120,584		130,431	5,821,231
Retail Exposure	132,964,558	15,525	21,906	8,772,201	5,441	1,266	8,030	141,788,929
Corporates and Securities Firms & Other Financial institutions	272,463,045	32,057,359	748,143	16,026,980	5,229,760	2,042,405	4,653,112	333,220,803
Specialized Lending	33,942,306	10,180,185		570,620				44,693,111
Real Estate Exposure	224,223,464	49	321	707,778	33			224,931,645
Other Assets	24,483,292		11,497,736	2,055,409				38,036,437
Defaulted Exposures	5,959,844							5,959,844
Failed Transactions								
Unsettled transactions								
Equity Investment in Funds	1,988,609	111,353	1,842,082		21,956,425		3,866,581	29,765,050
Securitization	29,608				13,652,613	131,423	706,483	14,520,127
Total	956,734,256	75,591,364	33,621,772	39,886,288	73,889,386	8,347,780	34,145,856	1,222,216,702

Industry Breakdown (SAR '000)											
Portfolios	Government and Quasi Government	Banks and other FI	Manufacturing	Electricity, water gas and health services	Building and construction	Commerce	Transportation and communication	Services	Consumers	Others	Total
Sovereigns and central banks	273,372,059	5,725,074						3,366,662			282,463,796
Public Sector Entities			13,691	10,537		1,373	102	376		116,327	142,406
Multilateral Development banks (MDBs)		1,651,879								942,915	2,594,794
Banks	26,509,240	71,565,748								203,540	98,278,529
Covered Bonds											
Subordinated debt, equity and other capital instruments		4,868,415		4,612		647,970				300,235	5,821,231
Retail Exposure		13,394	2,123,975	247,981	595,144	4,756,472	219,872	1,160,864	132,528,334	142,894	141,788,929
Corporates and Securities Firms & Other Financial institutions	8,726,881	1,984,297	50,795,901	55,366,094	41,216,394	78,466,729	46,150,656	28,162,672	117,372	22,233,807	333,220,803
Specialized Lending			3,995,745	24,174,039	90,057	14,051,047	2,247,720	134,502			44,693,111
Real Estate Exposure			146,900	611,015	221,413	25,828,924	184,830	1,905,443	196,031,982	1,137	224,931,645
Other Assets		13,579,415	6,664	1,900	3,381	14,271	128	555,589		23,875,089	38,036,437
Defaulted Exposures	90,901	5,548	758,199	801,272	1,542,399	1,136,693	760,081	469,563	1,223	393,966	5,959,844
Failed Transactions											
Unsettled transactions											
Equity Investment in Funds		29,765,050									29,765,050
Securitization	5,104,273		881,323			6,517,339		1,142,939		874,253	14,520,127
Total	313,803,355	119,657,285	58,722,398	81,217,451	43,668,788	131,420,817	49,563,390	36,898,611	328,678,910	58,585,697	1,222,216,702

Portfolios	Residual Maturity Breakdown (SAR '000)								Total
	Less than 8 days	8-30 days	30-90 days	90-180 days	180-360 days	1-3 years	3-5 years	Over 5 years	
Sovereigns and central banks	5,933,700	36,076,753	-	965,024	568,841	32,785,848	21,629,654	184,503,976	282,463,796
Public Sector Entities	579	2,065	9,346	18,849	50,495	58,914	-	2,159	142,406
Multilateral Development banks (MDBs)	-	-	-	-	-	733,846	209,069	1,651,879	2,594,794
Banks	12,051,981	505,469	1,366,834	8,901,204	5,923,129	23,204,748	31,626,275	14,698,889	98,278,529
Covered Bonds	-	-	-	-	-	-	-	-	-
Subordinated debt, equity and other capital instruments	4,840	-	-	-	127,131	749,957	1,022,601	3,916,701	5,821,231
Retail Exposure	12,851,649	7,071,785	2,956,735	3,573,419	5,678,026	23,457,766	81,419,912	4,779,637	141,788,929
Corporates and Securities Firms & Other Financial institutions	25,111,507	51,304,317	101,008,777	36,917,533	35,027,110	16,011,702	21,096,498	46,743,359	333,220,803
Specialized Lending	2,523	163	186,566	73,722	84,773	242,334	97,652	44,005,378	44,693,111
Real Estate Exposure	31,226	13,119	95,492	48,942	169,567	1,020,780	2,322,598	221,229,921	224,931,645
Other Assets	1,805,289	20,455	96,770	138,482	312,386	800,797	1,062,675	33,799,583	38,036,437
Defaulted Exposures	3,108,323	65,257	130,574	290,019	2,228,521	87,067	49,583	500	5,959,844
Failed Transactions									
Unsettled transactions									
Equity Investment in Funds								29,765,050	29,765,050
Securitization						54,628	31,962	14,433,537	14,520,127
Total	60,901,618	95,059,384	105,851,092	50,927,194	50,169,979	99,208,386	160,568,479	599,530,570	1,222,216,702

F. Impaired Loans

Industry sector	Impaired Loans, Past Due Loans and Allowances (SAR '000)									
	Impaired loans	Defaulted	Less than 90	90-180	180-360	Over 360	Charges during the period	Charge-offs during the period	Balance at the end of the period	General allowances (Stage 1&2)
Government and quasi government	0	0	0	0	0	0	0	0	0	1,928
Banks and other financial institutions	10	10	1	0	0	10	-18	0	7	12,542
Agriculture and fishing	6,019	4,374	18,253	4,180	0	194	1,782	1,980	1,874	4,580
Manufacturing	281,881	236,478	125,297	40,409	15,456	180,613	(175,413)	471,585	194,109	201,204
Mining and quarrying	7,613	7,004	6,907	20	6,716	267	0	0	5,110	34,623
Electricity, water, gas and health services	358,467	341,847	35,399	4,022	4,793	333,032	10,837	42,706	336,126	28,773
Building and construction	799,610	770,853	292,791	77,861	454,295	238,698	687,297	1,118,103	665,373	152,321
Commerce	1,846,760	1,755,171	4,837,308	398,965	184,541	1,171,665	1,493,875	2,021,733	1,950,214	759,167
Transportation and communication	92,418	91,034	103,589	1,625	374	89,035	48,802	1,953	89,581	51,049
Services	473,820	360,703	288,818	55,746	153,586	151,372	133,549	118,888	257,319	320,892
Consumer loans and credit cards	1,481,307	1,432,303	5,818,970	975,474	323,461	133,367	1,250,101	2,241,331	573,572	1,519,373
Others	1,738	1,548	189	398	601	549	0	0	1,191	195,061
Total	5,349,644	5,001,326	11,527,522	1,558,700	1,143,823	2,298,803	3,450,812	6,018,280	4,074,477	3,281,511

Impaired Loans, Past Due Loans and Allowances (SAR '000)							
Geographic area	Impaired loans	Aging of Past Due Loans (days)				Specific allowances (Stage 3)	General allowances (Stage 1 and 2)
		Less than 90	90-180	180-360	Over 360		
Saudi Arabia	4,925,722	11,315,082	1,638,609	1,078,277	2,072,958	3,925,970	3,121,169
Other GCC & Middle East	2,152	0	25	0	2,127	2,144	11,727
Turkey	421,770	212,440	64,409	65,546	79,375	146,363	145,438
Others countries	0	0	0	0	0	0	3,178
Total	5,349,644	11,527,522	1,703,043	1,143,823	2,154,460	4,074,477	3,281,511

g. Aging analysis of accounting past-due exposures

Ageing analysis of accounting past-due exposures (SAR '000)

Portfolios	Less than 30 days	30-59 days	60-89 days	Total
Consumer loans and credit cards	4,233,076	1,390,988	558,679	6,182,743
Corporate	986,249	1,616,593	2,529,497	5,132,339
Others	49,183	55,720	107,537	212,440
Total	5,268,508	3,063,300	3,195,714	11,527,522

h. Breakdown of restructured exposures between impaired and not impaired exposures

Breakdown of restructured exposures between impaired and not impaired exposures (SAR '000)

Restructured exposures	Impaired	Not Impaired
3,638,382	224,132	3,414,250

CRB-A - Additional disclosure related to prudential treatment of problem assets

The definition of non-performing exposure is as per rules on Management of Problem Loans and related Guidelines Prudential treatment of problem assets – definitions of non-performing exposures and forbearance.

The following are considered non-performing exposures:

- a) All exposures that are "defaulted" under Basel framework (unlikely to pay, 90 days past due) as per the Definition of Default below.
- b) All exposures that are credit-impaired (partial write-off)
- c) All other exposures that are not defaulted or impaired but material exposure are more than 90 days and/or have evidence that full repayment is unlikely without the bank's realization of collateral.

Non-performing exposures will be applied to on-balance sheet loans, debt securities and other amounts due (e.g. interest and fees). It also applies to off-balance sheet items (e.g. loan commitments and financial guarantees). Exposures that a bank includes in its trading book or that are treated as derivative are not within the scope of the definition.

Level of application

When a material exposure to a counterparty (natural or legal) is categorized as non-performing, all exposures to that counterparty is considered as non-performing.

When a counterparty belongs to a group, designating an exposure to one entity belonging to a group as non-performing does not mandatorily lead to designating all exposures to other entities from the same group as such. However, designating the exposure to one of the group entities as non-performing should be one of the inputs, along with the respective financial situation of other entities from the same group, when assessing the creditworthiness and determining the performing or non-performing status of exposure to the other entities in the group.

Collateralization or received guarantees should have no direct influence on the categorization of an exposure as non-performing. However, the bank may consider the collateral amount when assessing borrower's economic incentive to repay under the unlikelihood to repay criteria.

Any recourse by the bank shall not be considered in this judgment.

Definition of default:

A default is considered to have occurred with regard to a particular obligor when either or both of the two following events have taken place:

1. The obligor is past due for more than 90 days on any material credit obligations to the banking group. Overdraft will be considered as being past due once the customer has breached an advised limit. Day count starts on first business day payments are overdue or the Overdraft limit is exceeded. The materiality threshold for recognition of default is 5% of the total outstanding credit obligations of the client.
2. The bank considers that the obligor is unlikely to pay its credit obligations to the banking group in full, without recourse by the bank to actions such as realizing security (if any).

The elements to be taken as indications of unlikelihood to pay include:

- a) The bank puts the credit obligation on non-accrued status.
- b) The bank makes a charge-off or account-specific provision resulting from a significant perceived decline in credit quality.
- c) The bank consents to distressed restructuring of the credit obligation where this is likely to result in a diminished financial obligation caused by the material forgiveness or postponement of principal, interest or (where relevant) fees.
- d) The bank has filed for the obligor's bankruptcy or a similar order in respect of the obligor's credit obligation to the bank.
- e) The obligor has sought or has been placed in bankruptcy where this would avoid or delay repayment of the credit obligation to the Bank.

In cases where Non-Performing Loans (NPL) in particular are restructured (Forborne), such loans should not be upwardly re-categorized/reclassified merely because of the existence of a restructuring agreement. Upward reclassification should only be made if and when there is sufficient evidence of adherence to the payment terms of the restructuring agreement. This evidence would include the establishment of a history for at least 12 months of timely repayments of both principal and commissions/interest under the restructuring agreement or the counterparty has resolved its financial difficulty.

(C) Breakdown of gross carrying value by performing and non-performing exposures

	Gross Carrying Value SR 000			Value adjustments and provisions
	Performing	Defaulted exposures	Non-Performing Exposures that are not defaulted/impaired exposures but are more than 90 days past due Other exposures where there is evidence that full repayment is unlikely without the bank's realization of collateral	
Debt Securities	289,208,261			34,037
Loans	729,942,603	5,001,326		7,355,988
Of which Retail:	351,889,424	1,235,557		2,092,945
Of which Corporate:	354,039,527	3,412,096		4,825,059
Off Balance sheet	172,674,692	5,412,582		514,860
Total	1,191,825,556	10,413,908		7,904,885

(d) Gross carrying value breakdown of restructured/forborne exposures

	Performing	Non-Performing	Impaired	Not Impaired	Value adjustment and provisions
Debt Securities					
Loans	12,304,280	229,535			367,732
of which Retail	8,877,194	122,589			91,567
of which secured by Real Estate	8,718,626	88,774			69,832
of which revolving exposures	90,212	2,188			3,707
of which SME	68,356	31,626			18,028
of which Other Retail					
of which Corporate	2,684,482	106,947			183,635
Off Balance Sheet	60,410				121
Total	12,364,691	229,535			367,853

CRC – Qualitative disclosure requirements related to credit risk mitigation techniques

Core features of policies and processes for, and an indication of the extent to which the bank makes use of, on- and off-balance sheet netting.

SNB does not make use of on- and off-balance sheet netting for capital adequacy or financial position purposes.

Core features of policies and processes for collateral evaluation and management.

The credit policy manual of the Bank defines collaterals to include tangible and physical securities, which are easily identifiable and where the title / ownership can change without difficulty. This can be further divided into two categories: Liquid Collateral (i.e., can be readily converted to cash) and Illiquid Collateral (where realization of security may take some time due to underlying processes).

SNB accepts the following types of collaterals:

Liquid Collateral:

Cash Margin, Time Deposits, collection accounts, Investment Portfolios, Government Securities / bonds / Sukuk, publicly traded shares, and Unconditional and Irrevocable Bank Guarantees.

Illiquid Collateral:

Land and Commercial Real Estate, Plant, Machinery and Equipment, and Precious Metals.

Illiquid collateral must be evaluated by two independent professional firms approved for this purpose by SNB and the value of security must be its fair market value. The evaluation should be conducted frequently on the whole portfolio and on a case by case basis as per the credit policy.

The acceptance of any collateral by SNB is undertaken with prescribed coverage. The coverage ratio considers haircuts that represent potential declines in the value of the collateral asset due to market price fluctuation and liquidity. Collaterals are being revalued frequently to ensure adherence to the required coverage ratio.

All collaterals are held under Credit Control Department (CCD) custody to ensure full independence organizationally and functionally. CCD is responsible for communicating to the business any document deficiency and identifying all collaterals that need to be revaluated. In cases where SNB accepts collateral as fixed assets such as buildings, warehouses and contents, plant, machinery and equipment, the customer is required to provide insurances, where SNB must be named as Loss Payee in the insurance policy. Where the same collateral is shared by other banks, SNB must be mentioned as a Loss Payee on a shared, pari passu basis with the other banks.

Core features of policies and processes for collateral evaluation and management.

In order to ensure effective risk mitigation SNB's approved collateral types are limited in nature and hence are exposed to collateral concentrations. SNB actively manages collateral concentration at relationship as well at sector level. SNB has established limits which are imposed to ensure that collaterals accepted do not breach the regulatory thresholds with respect to shares, guarantees et cetera. These limits are monitored and reviewed on a quarterly basis.

market or credit risk concentrations

The Group applies credit risk mitigation techniques, including financial collateral, guarantees, and credit derivatives, in accordance with regulatory requirements. Concentrations arising from these instruments are monitored by guarantor type, collateral, and credit protection provider as part of the Group's credit risk management framework.

As at the reporting date, no material market or credit risk concentrations were identified in relation to credit risk mitigation instruments

Type of Counterparty	Rating	Nominal amount
Bank	N/A	N/A
Other financial Institution	N/A	N/A
Non-financial institution	N/A	N/A

CRD – Qualitative disclosure on banks’ use of external credit ratings under the standardised approach for credit risk

Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) used by the bank, and the reasons for any changes over the reporting period:

The Bank uses the following External Credit Assessment Institutions (ECAIs).

- Standards and Poor’s Rating Group
- Moody’s Investor Service
- Fitch Group

The asset classes for which each ECAI or ECA is used:

External Credit Assessment Institutions risk assessments are used by the Bank as part of the determination of risk weightings for the following classes of exposure.

- Sovereign and Central Banks;
- Banks and Securities Firms; and
- Corporates Securitized assets

A description of the process used to transfer the issuer to issue credit ratings onto comparable assets in the banking book (see paragraphs 99-101 of the Basel framework); and

The credit rating is based on the issue-specific (security) which is assessed by using the second lowest ratings of the three agencies (S&P, Moody’s and Fitch).

The alignment of the alphanumerical scale of each agency used with risk buckets (except where the relevant supervisor publishes a standard mapping with which the bank has to comply).

The alignment of the alphanumerical scale of major agencies used with risk buckets is based on the guidance issued by SAMA. Risk weights are determined by relevant tables in Basel framework. These tables use Standards and Poor’s as a standard benchmark. The following table provides the alignment SNB uses for the remaining used ECAIs ratings to the Standards and Poor’s alphanumerical scale.

Fitch	Standards and Poor’s	Moody’s
AAA	AAA	Aaa
AA+	AA+	Aa1
AA	AA	Aa2
AA-	AA-	Aa3
A+	A+	A1
A	A	A2
A-	A-	A3
BBB+	BBB+	Baa1
BBB	BBB	Baa2
BBB-	BBB-	Baa3
BB+	BB+	Ba1
BB	BB	Ba2
BB-	BB-	Ba3
B+	B+	B1
B	B	B2
B-	B-	B3
CCC+	CCC+	Caa1
CCC	CCC	Caa2
CCC-	CCC-	Caa3
CC	CC	Ca
C	C	C
D	D	WR
NR	NR	NR

CCRA – Qualitative disclosure related to counterparty credit risk

Risk management objectives and policies related to counterparty credit risk, including:

Most of the SNB's derivative trading activities relate to sales, positioning and arbitrage. Sales activities involve offering products to customers and banks in order, inter alia, to enable them to transfer, modify or reduce current and future risks. Positioning involves managing market risk positions with the expectation of profiting from favorable movements in prices, rates or indices. Arbitrage involves profiting from price differentials between markets or products.

The bank's policies enforce that any transactions in derivatives must take place within the context of a signed of International Swaps and Derivatives Association (ISDA), Credit Support Annex (CSA) and/or Global Master Repurchase Agreement (GMRA) with its respective financial institution counterparties. Each product may have its specific confirmation and term sheet. Operations Governance within Wholesale Strategy is responsible for negotiating these legal contracts in collaboration with Legal and Shariah (if it is Shariah compliant version). As for SNB Corporate customers, they sign a Customer Treasury Agreement only CTA and/or approved agreements for Sharia compliant hedging transactions.

The bank has an established end to end process for executing Treasury transactions. Global Markets dealers conclude transactions with approved counterparties (i.e. having signed CTA or ISDA). Upon deal conclusion front office dealers capture deals in the Treasury system and provide all documents (confirmation, term sheet etc.) to Treasury operations. Based on the documentation Treasury operations thoroughly check the trade details and validate the deal. After validation by Treasury operations the system automatically generates the contingent entries and post in core banking system. Treasury operations make sure all documents are in place and duly signed by the customer. On settlement date the system generates payment messages that is checked, validated then released by Treasury operations.

Pre-settlement Exposure (PSE) or Pre-settlement Risk (PSR) is an estimate of how much counterparty in Foreign Exchange and Derivative trading transaction might owe over the life of a transaction (or Portfolio of transactions). PSR is a function of positive Mark to Market (MTM) and the Potential Future Exposure, PFE stands for the Maximal Potential Future Exposure over the remaining life of the deal taking into account a predefined confidence interval, volatility of underlying asset, and duration of the transaction. It is determined using the maximal potential future exposure (PFE) at predefined confidence. This estimation factors in the remaining life of the deal, considering market conditions, the volatility of the underlying asset, and the correlation between assets. PSE PSR is incurred from a wide set of transactions, from cash trades that settle in a few days, to Forward transactions that settle in a few months to multi-year swaps with periodic cash flows. The Quantification of PSE PSR may be impacted by the presence of netting, margining, re-couponing and early termination agreements. PSE PSR limit must be established for counterparties with which the bank has trading relationships.

b. The method used to assign the operating limits defined in terms of internal capital for counterparty credit exposures and for CCP exposures;

Credit limits are assigned to Financial Institutions according to the following:

Country risk assessment and approved country limit guidelines by ALCO.

Financial Institutions credit risk assessment (qualitative & quantitative) for identifying key risks and assigning mitigants accordingly.

Target Market & Risk Acceptance Criteria for Financial Institutions. This includes tiering guidelines according to SNB Bank policies based on total assets size, tangible net worth, capital adequacy, and assigned risk rating and hence to provide total facilities and products permitted.

Business needs according to the counterparty's requirements.

Country limits.

SAMA regulations.

The country limit guidelines are driven by a model created based on country risk assessment, taking into account multiple macro-economic indicators such as total external debt, debt coverage ratio, import cover, current account deficit and foreign reserve, etc. Political/Neighborhood risks through judgmental discretion, country ratings and size of the country as measured by its GDP. The model caps the country limit to Benchmark (as a % of SNB's Eligible Capital) to control concentration risks.

Setting the risk indicators score is calculated as follows:

Each indicator has a different category that weights certain extent of risk (Low-Med-High). Those selected indicators will validate the quantum of risk being taken in each country covering three main segments (Economic, Political and Currency).

Then in each category, scoring ranges were assigned.

The indicators data will be updated using the latest EIU numbers, then the model will score the data automatically by ascribing points to each risk, therefore each country will have total points and limits will be reflected accordingly.

Policies relating to guarantees and other risk mitigants and assessments concerning counterparty risk, including exposures towards CCPs;

SNB uses a master netting agreement that follows the rules of ISDA and CSA in its dealings with FI counterparties. Based on CSA agreement, only cash and bonds are accepted as a collateral for Initial and Variation margin calls.

SNB receives / sends margin call on a daily basis for variations in derivatives market value and once the amount is agreed upon with the counterparties, payment instruction will be sent to operations for processing. Variation margins are always compared against the trades' market value before confirmation. SNB may dispute or partially agree on the margin call received from the counterparties if significantly inconsistent with the trade's market value.

Policies with respect to wrong-way risk exposures;

Specific wrong-way risk arises, if future exposure to a specific counterparty is expected to be high when the counterparty's probability of default is also high. The Bank's Global Market & Treasury Products Approval Committee (GMTPAC) approves all new products. As part of its approval process the GMTPAC, among others, ensures that any new treasury product will not result in specific wrong-way risk.

The impact in terms of the amount of collateral that the bank would be required to provide given a credit rating downgrade.

Existing derivatives contracts in which SNB is engaged in do not have provisions for posting additional collaterals in case of a credit rating downgrade.

CCR1 – Analysis of counterparty credit risk (CCR) exposure by approach

SAR '000		Replacement cost	Potential future exposure	Effective EPE	Alpha used for computing regulatory EAD	EAD post-CRM	RWA
1	SA-CCR (for derivatives)	3,871,861	6,085,877		1.4	13,940,834	9,619,883
2	Internal Model Method (for derivatives and SFTs)						
3	Simple Approach for credit risk mitigation (for SFTs)						
4	Comprehensive Approach for credit risk mitigation (for SFTs)						
5	Value-at-risk (VaR) for SFTs						
6	Total						9,619,883

CCR3 – Standardized approach of CCR exposures by regulatory portfolio and risk weights

Regulatory portfolio*/ Risk weight**	0%	10%	20%	50%	75%	100%	150%	Others	Total credit exposure
Sovereigns			34,698						34,698
Non-central government public sector entities									
Multilateral development banks									
Banks			2,309,517	884,657		2,739		2,712,647	5,909,559
Securities firms									
Corporates				117,948	121,618	7,696,934			7,936,500
Regulatory retail portfolios									
Other assets								11,597,923	11,597,923
Total			2,344,215	1,002,604	121,618	7,699,674		14,310,570	25,478,680

*The breakdown by risk weight and regulatory portfolio included in the template is for illustrative purposes. Banks may complete the template with the breakdown of asset classes according to the local implementation of the Basel framework.

**Banks subject to the simplified standardized approach should indicate risk weights determined by the supervisory authority in the columns.

CCR5 – Composition of collateral for CCR exposure

SAR '000	Collateral used in derivative transactions				Collateral used in SFTs	
	Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
	Segregated	Unsegregated	Segregated	Unsegregated		
Cash – domestic currency	144,700		157,550			
Cash – other currencies	4,449,354		5,503,260			
Domestic sovereign debt			4,425,000			
Other sovereign debt						
Government agency debt						
Corporate bonds			58,242			
Equity securities						
Other collateral						
Total	4,594,054		10,144,052			

CCR6 – Credit derivatives exposures

	Protection bought	Protection sold
Notionals		
Single-name credit default swaps	-	-
Index credit default swaps		
Total return swaps		
Credit options		
Other credit derivatives		
Total notionals	-	-
Fair values		
Positive fair value (asset)	-	-
Negative fair value (liability)	-	-

CCR8 – Exposure to central counterparties

SAR '000	EAD (Post – CRM)	RWA
Exposures to QCCPs (total)	11,537,847	230,757
Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	11,537,847	230,757
(i) OTC derivatives	11,537,847	230,757
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		
Exposures to non-QCCPs (total)		
Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which		
(i) OTC derivatives		
(ii) Exchange-traded derivatives		
(iii) Securities financing transactions		
(iv) Netting sets where cross-product netting has been approved		
Segregated initial margin		
Non-segregated initial margin		
Pre-funded default fund contributions		
Unfunded default fund contributions		

SECA – Qualitative disclosure requirements related to securitization exposures

The Bank does not have any securitization activities which transfer credit risk away from the Bank to other entities. However, the bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVOCI) and Investment at Amortized Cost (IAC) books.

The bank's role in securitisation activities is limited to that of an investor. The bank does not act as an originator, sponsor, or manager of any securitisation vehicles, nor does it consolidate any special-purpose entities (SPEs) for regulatory purposes. Our securitisation exposures consist primarily of purchased, externally rated tranches, senior positions in high-quality and simple structures such as AAA CLOs, AA CLOs, AAA CMBS, AAA RMBS, Agency MBs, and senior tranches of U.S. student loan ABS that are subject to the SEC-ERBA approach with a few exposures to unrated securitisation subject to the SEC-SA approach. As a result, there is no transfer of credit risk from the bank to third parties, and the bank does not produce or manage securitisation structures.

Risk management, valuation, and accounting for these exposures follow the same governance applied to all investment book positions, including rating-based credit assessment, market risk monitoring, stress testing, and IFRS 9 classification. The bank relies mainly on External Credit Assessment Institutions (ECAIs) for determining regulatory capital requirements and does not apply the Internal Assessment Approach (IAA).

Instrument	Instrument Definition	Rational for Investing	Status
US Agency MBS	Mortgage-backed securities issued by a government-owned corporation or a government-sponsored enterprise under the conservatorship of the Federal Housing Finance Agency (FHFA).	The investments allow SNB to gain exposure to a liquid asset class with favorable regulatory ratios, whilst providing incremental yield pick-up to government issues. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVTOCI) and Investment at Amortized Cost (IAC) books.
US Government Guaranteed Student Loans (FFELPs)	Student Loan backed securities with a 97% guarantee by the US Department of Education.	The investments allow SNB to gain exposure to a liquid asset class with favorable regulatory ratios, whilst providing diversification and incremental yield pick-up to government issues. They also help reduce the bank's overall interest rate risk due to their floating nature.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVTOCI).
US CLO (AAA, AA)	A senior tranche investment within Collateralized Loan Obligations is an investment in a AAA/AA rated security backed by a diversified pool of loans rated below investment grade. This is achieved through the securitization of this pool of assets, with the senior tranches having the first priority of payment within the capital structure.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities. They also help reduce the bank's overall interest rate risk due to their floating nature.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVTOCI) and Investment at Amortized Cost (IAC) books.
US CMBS AAA	CMBS are investment products that are backed by mortgages on commercial properties. CMBS structures are typically sequential pay, meaning any loan principal and scheduled interest payments received are allocated to tranches in order of seniority. A typical structure would have a senior tranche rated AAA, which carries the highest level of credit enhancement.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVTOCI).
US RMBS AAA	Residential Mortgage-Backed Securities (RMBS) are financial instruments that represent claims on the cash flows generated from residential mortgages. RMBS are structured into different tranches, which vary in risk and return based on the seniority of the claims on the underlying mortgages payments.	The investments allow SNB to invest in high rated asset, whilst providing incremental yield pick-up. The asset class helps maintain the high-quality nature of the investment book with an enhanced yield, arising from prepayment risk and relative value opportunities.	The bank invests in securitized assets that are highly rated as part of its Fair Value through Other Comprehensive Income (FVTOCI).

SEC1 – Securitization exposures in the banking book

SAR '000		Bank acts as originator				Bank acts as sponsor				Banks acts as investor			
		Traditional	Of which STC	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total	Traditional	Of which STC	Synthetic	Sub-total
1	Retail (total) – of which									5,825,509			5,825,509
2	residential mortgage									5,809,014			5,809,014
3	credit card												
4	other retail exposures									16,495			16,495
5	re-securitization												
6	Wholesale (total) – of which									8,694,618			8,694,618
7	loans to corporates									6,551,271			6,551,271
8	commercial mortgage									2,143,347			2,143,347
9	lease and receivables												
10	other wholesale												
11	re-securitization												

SEC4 – Securitization exposures in the banking book and associated capital requirements – bank acting as investor

SAR '000	Exposure values (by RW bands)					Exposure values (by regulatory approach)				RWA (by regulatory approach)				Capital charge after cap			
	<=20%	>20% to 50%	>50% to 100%	>100% to <1250%	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%	SEC-IRBA	SEC-IRBA and SEC-IAA	SEC-SA	1250%
Total exposures	14,019,123	294,807	51,819	154,378			14,520,127	29,608			3,084,252	4,441			246,740	355	
<i>Traditional securitization</i>	<i>14,019,123</i>	<i>294,807</i>	<i>51,819</i>	<i>154,378</i>			<i>14,520,127</i>	<i>29,608</i>			<i>3,084,252</i>	<i>4,441</i>			<i>246,740</i>	<i>355</i>	
Of which securitization	14,019,123	294,807	51,819	154,378			14,520,127	29,608			3,084,252	4,441			246,740	355	
Of which retail underlying	5,809,014						5,779,406	29,608			1,155,881	4,441			92,471	355	
Of which STC		16,495					16,495				6,598				528		
Of which wholesale	8,210,109	278,312	51,819	154,378			8,694,618				1,921,772				153,742		
Of which STC																	
Of which re-securitization																	
<i>Synthetic securitization</i>																	
Of which securitization																	
Of which retail underlying																	
Of which wholesale																	
Of which re-securitization																	

MRA – Qualitative disclosure requirements related to market risk

The market risk section includes the market risk capital requirements calculated for trading book exposures that are subject to a market risk charge, it also includes capital requirements for securitization positions held in the trading book. However, it excludes the counterparty credit risk capital charges that apply to the same exposures, which are reported in Counterparty credit risk part

a. Strategies and processes of the bank

The focus of Market Risk unit (part of Treasury Risk Division) is to control risk taking activities in a manner that optimizes rewards and capital consumption. Market risk measures the potential loss in value of financial instruments or the Bank's off-balance sheet positions arising from adverse movements in market variables such as commission or other profit rates, foreign exchange rates, equity and commodity positions.

These measures are monitored and controlled to ensure that the risk-taking activity is within the desired bank's risk appetite/limits and risk-return targets as defined by the Board of Directors. The bank has in place a comprehensive process for setting the risk appetite:

-Limits are set through a rigorous process whereby the limits proposal is discussed between the Treasury and the Risk Group taking into consideration factors such as risk level of individual investments, risk appetite of the Bank, market conditions, potential impact of correlation and stress scenarios etc. The limits package is circulated to the Assets and Liabilities Committee (ALCO) for concurrence, and then to the Risk Committee/Board for approval.

-Treasury Risk independently checks and monitors adherence to the set limits. This ensures controls are in place and breaches are escalated as applicable.

-Investments are only permissible in approved asset classes as agreed by the Board in the annual limits package.

-Group Treasury & Global Markets are allowed to deal (whether with client or for trading purposes) only in approved products. Product approvals are obtained through the Global Markets Treasury Product Approval Committee in alliance with the Bank's major stakeholders to ensure risk, accounting, operations and compliance aspects are covered.

-reporting to ALCO and the Board/Risk Committee ensures Senior Management oversight, in order to allow the Hedge Accounting for the hedged items and the hedging derivatives, the International Financial Reporting Standards (IFRS) have prescribed that the effectiveness of a hedge, a task that is carried out by Treasury Middle Office (part of Treasury Risk Division) in coordination with Treasury and Finance groups.

b. Structure and organization of the market risk management function

The Risk Group is responsible for the development of detailed risk management policies (subject to review and approval by the Board of Directors) and for the day-to-day review of their implementation. The Head of Market Risk is appointed by Head of Treasury Risk, who is appointed by the Chief Risk Officer. The Head of Treasury Risk have senior responsibility for the oversight of the Trading and Investment portfolios of the Bank and their activities.

SNB's Treasury Risk division independently monitors market risks in line with market risk management policy, which defines the market risk management framework that includes various limits which SNB should maintain for its investment and trading portfolios. The policy outlines the governance of risk methodologies, measurement techniques and controls for market risk. Moreover, the treasury & investment limits outline the guidelines for managing the Bank's trading book investments. The main objective is to ensure that there are adequate controls and that procedures are followed with regards to all products that the Treasury is or may be engaging in.

Scope and nature of risk reporting and/or measurement systems.

The market risk policy targets managing the composition and magnitude of existing and potential market risk exposures. The Bank separates its exposure to market risk between trading books. Trading book is mainly held by the Group Treasury includes positions arising from market making and proprietary trading positions. The primary categories of market risk managed by the Bank are as below:

Risk Item	Description
Interest rate risk	Changes in yield curves and implied volatilities on interest rate options
Currency Exchange risk	Exchange rate movements and implied volatilities on foreign exchange options
Commodity price risk	Commodity prices variation and commodity option implied volatilities. This covers energy, precious metals, base metals, and agriculture
Equity price risk	Equity price volatility, equity indices, equity baskets and implied volatilities on related options
Investment Risk	Changes in market value of the investment portfolio resulting from volatility in interest rates, equity prices and credit spreads.

Treasury Risk aims to accurately measure all types of market risks by a comprehensive set of risk metrics reflecting economic and regulatory requirements.

In accordance with economic and regulatory requirements, SNB uses the Value at Risk (VaR) as a principal tool to measure and control market risk exposure within the SNB trading book. The overall structure of VaR limits is subject to review and approval by the Board of Directors. VaR limits are allocated to trading book. The daily reports of utilization of VaR limits are submitted to the senior management of the Group. In addition, regular summaries about various risk measures including the Economic Capital are submitted to the Risk Committee of the Board.

The VaR methodology is supplemented with other position and sensitivity limit structures. The risk adjusted return, balance sheet position, liquidity and capital position of the Bank are taken into consideration when setting market risk limits. Various notional and concentration limits are set to manage exposures in the investment book and are monitored vis-à-vis Board approved limits

MR1 – Market risk under standardized approach

SAR '000

	Capital requirement in standardised approach
1 General interest rate risk	372,624
2 Equity risk	327,723
3 Commodity risk	126,044
4 Foreign exchange risk	485,063
5 Credit spread risk - non-securitizations	78,247
6 Credit spread risk - securitizations (non-correlation trading portfolio)	
7 Credit spread risk - securitization (correlation trading portfolio)	
8 Default risk - non-securitizations	26,618
9 Default risk - securitizations (non-correlation trading portfolio)	
10 Default risk - securitizations (correlation trading portfolio)	
11 Residual risk add-on	34,738
12 Total	1,451,058

CVAA: General qualitative disclosure requirements related to CVA

Credit Valuation Adjustment (CVA) is an adjustment to the mid-market valuation of the portfolio of trades with a counterparty. This adjustment reflects the market value of the credit risk due to any failure to perform on contractual agreements with a counterparty. This adjustment may reflect the market value of the credit risk of the counterparty or the market value of the credit risk of both the bank and the counterparty. Two approaches are available for calculating CVA capital: the standardized approach (SA-CVA) and the basic approach (BA-CVA). SNB's adopted approach for calculating the capital requirements is the basic approach (BA-CVA). The capital requirements are not set to 100% of the counterparty credit risk capital requirements.

CVA1: The reduced basic approach for CVA (BA-CVA)

SAR '000	Components	BA-CVA RWA
1 Aggregation of systematic components of CVA risk	2,096,981,105,586,170	
2 Aggregation of idiosyncratic components of CVA risk	266,708,016,105,703	
3 Total		12,314,166

ORA: General qualitative information on a bank's operational risk framework

The management of Operational Risk in SNB has a comprehensive policy & framework that describes the governance structures, roles and responsibilities for the management of operational risk as a distinct category at a Bank level and across the SNB divisions and business units. The ORM policy and framework encompasses the following major components/ tools:

Risk Appetite: Appetite is determined, qualitatively, by reference to a variety of tools i.e. Risk and Control Self-Assessment (RCSA), Key Risk Indicator (KRI) and Loss Data methodologies as starting and supporting points to build risk appetite. Consequently, the Board reviews and approves the risk appetite levels.

Risk and Control Self-Assessment: RCSA forms an integral element of the overall operational risk framework as it identifies control gaps that threaten the achievement of defined business or process objectives and monitors what management is actually doing to close these gaps.

Key Risk Indicators: KRI is a measure demonstrating the likelihood of the impact of the risk changing its behavior. It is a tool in identifying vulnerabilities before they occur, acting as an early warning system.

Loss Data Collection: The loss data collection process consists of submitting to the central operational risk management function all operational risk losses arising from actual events.

Incident Management & Reporting: All discovered operational risk incidents must be recorded into SAS. In addition, SNB has adopted a comprehensive streamlined mechanism that ensures early enough notification is communicated promptly to the right people in timely and accurate manner for critical Operational Risk Incidents.

These are designed to provide a consistent approach to manage operational risks across the organization to mainly ensure that:

- Key tasks are performed and are undertaken in the most effective and efficient control environment.
 - Gaps and overlaps in activities are identified, assessed, mitigated, and monitored.
 - SNB Employees are fully aware of operational risks through the provided impactful training & awareness programs.
- (a) The structure and organization of their operational risk management and control function.

Operational Risk Management is led by the Head of Operational Risk with the support of primary Department Heads who are responsible for developing and maintaining the Bank's operational risk management framework and supports the Group Chief Risk Officer in overseeing the implementation of the framework. Moreover, the operational risk governance model in SNB covers a governance structure for the Bank, divisions and business units that are based on a three lines of defense model as follows:

- **The first line of defense** comprises group, divisional and business unit teams who have immediate responsibility over day-to-day operational risk management within the business.
- **The second line of defense** comprises the group and functions that are responsible for developing framework-setting policy and overseeing operational risk at the bank, divisional and business unit levels.
- **The third line of defense** comprises an independent assurance role that is performed by Internal Audit.

The relationship between the Operational Risk Management, Compliance and internal audit functions is based on clear separation, in which each of the aforementioned function has a well-defined mandate to ensure full independence of each of these functions organizationally and functionally. However, all these functions operate in a coordinated manner to ensure the Bank maintains a harmonized practice across its groups, divisions, and departments.

Operational Risk Management: Responsible for risk management development, monitoring process and the implementation of the bank overall risk management- which reports directly to the Operational Risk Committee.

Compliance: Responsible to ensure the Bank adheres to external laws & regulations, as well as internal policies and procedures- which reports directly to the Compliance Committee.

Internal Audit: Responsible for providing an independent, objective assurance and consulting service- which reports directly to the Audit Committee.

- (b) Their operational risk measurement system (i.e. the systems and data used to measure operational risk in order to estimate the operational risk capital charge).

All operational risk events and losses are recorded in the operational risk loss database through a Statistical Analysis System (SAS). This practice aims to build a historical database, incorporating internal operational risk events relating to all material activities and risk exposures of the Bank, from all geographical locations and using all appropriate sources to model its potential exposure to operational risk events in the future and calculate the amount of capital required to cover such potential exposure.

- (d) The scope and main context of their reporting framework on operational risk to executive management and to the board of directors.

The reporting mechanism of Operational Risk Framework is robustly facilitated through multiple Management Committees, in addition to the Board Risk Committee. In particular, SNB established the Operational Risk Committee - as part of SNB management committees - to effectively manage and oversee the Operational Risk framework implementation across the bank. Therefore, the Board delegates the Operational Risk Committee to oversee the management of the risks within the Board's appetite & tolerances, and requires the Operational Risk Committee to report to the Board periodically on risk exposure. The main purpose of the Operational Risk committee includes:

- Oversee the progress of Operational Risk framework implementation in the Bank, of Operational Risk activities implementation, and initiatives proposed by various groups.
- Oversee the progress of all action plans across the Bank and their effects on the quality of the controls.
- Oversee the operational risk exposures of the Bank (actual, potential and near misses).
- Discuss the major operational incidents of the Bank and the corrective actions that have been taken.
- Provide the Board with regular reports on the state of operational risk and the progress being made to reduce operational risks across the business.

(e) The risk mitigation and risk transfer used in the management of operational risk. This includes mitigation by policy (such as the policies on risk culture, risk appetite, and outsourcing), by divesting from high-risk businesses, and by the establishment of controls. The remaining exposure can then be absorbed by the bank or transferred. For instance, the impact of operational losses can be mitigated with insurance.

The adoption of the Risk treatment measure essentially depends on the effectiveness of the measure in reducing the probability and impact of a given Risk and the cost and time involved in implementing the measure. The Risk responses shall be any one of the following or a combination that will result in an effective measure:

Avoid Risk: In the event where the cost-benefit analysis proves that the benefit margin is less than the Risk cost considering all types of Risk that includes Operational Risk, the Bank will opt for avoiding such Risks.

Mitigate Risk: All possible measure that will enable reduction in the frequency or severity of loss occurrence shall be implemented as part of Risk mitigation for the identified Risks. The mitigation, primarily through internal controls, will have to be prudently applied based on the prioritization of risks.

Transfer Risk: Where the internal control environment does not specifically provide the support for reduction or controlling the Risk, the Bank shall decide on transferring such Risks primarily through Insurance or Outsourcing. The Risk appetite of the Bank will also be taken into account while implementing the Risk transfer through insurance and outsourcing.

Risk Acceptance: The Bank shall decide on accepting Operational Risks where the cost-benefit analysis sufficiently provides justification that the expected loss could be less than the cost of Risk mitigation

OR1: Historical losses

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Using 44,600 SAR threshold											
1 Total amount of operational losses net of recoveries (no exclusions)	61,599	76,268	80,894	58,548	9,807	204,562	69,825	94,700	111,994	73,716	84,191
2 Total number of operational risk losses	68	59	74	80	75	114	98	120	112	152	95
3 Total amount of excluded operational risk losses											-
4 Total number of exclusions											-
5 Total amount of operational losses net of recoveries and net of excluded losses	61,599	76,268	80,894	58,548	9,807	204,562	69,825	94,700	111,994	73,716	84,191
Using 446,000 SAR threshold											
6 Total amount of operational losses net of recoveries (no exclusions)	52,401	70,569	73,264	49,916	3,254	195,254	61,425	85,134	102,807	58,403	75,243
7 Total number of operational risk losses	13	16	28	25	24	24	19	29	36	27	24
8 Total amount of excluded operational risk losses	-	-	-	-	-	-	-	-	-	-	-
9 Total number of exclusions	-	-	-	-	-	-	-	-	-	-	-
10 Total amount of operational losses net of recoveries and net of excluded losses	52,401	70,569	73,264	49,916	3,254	195,254	61,425	85,134	102,807	58,403	75,243

Details of operational risk capital calculation

11	Are losses used to calculate the ILM (yes/no)?	Yes
12	If "no" in row 11, is the exclusion of internal loss data due to non compliance with the minimum loss data standards (yes/no)?	
13	Loss event threshold: 44,600 SAR or 446,000 SAR for the operational risk capital calculation if applicable	44,600

OR2: Business Indicator and subcomponents

	a	b	c
BI and its subcomponents	2024	2023	2022
1 Interest, lease and dividend component	20,224,271		
1a Interest and lease income	57,842,370	49,856,985	34,393,429
1b Interest and lease expense	30,112,179	22,848,045	8,106,231
1c Interest earning assets	954,692,621	877,744,495	812,053,690
1d Dividend income	413,264	366,039	392,466
2 Services component	3,977,554		
2a Fee and commission income	4,377,486	3,851,054	3,704,121
2b Fee and commission expense			
2c Other operating income			
2d Other operating expense	(1,360,704)	-1,226,084	(1,034,737)
3 Financial component	4,374,360		
3a Net P&L on the trading book	1,923,197	1,945,426	1,580,072
3b Net P&L on the banking book	2,954,927	2,644,027	2,075,432
4 BI	28,576,185		
5 Business indicator component (BIC)	4,152,628		

OR3: Minimum required operational risk capital

Business indicator component (BIC) (SAR '000)	4,152,628
Internal loss multiplier (ILM)	0.74
Minimum required operational risk capital (ORC) (SAR '000)	3,089,170
Operational risk RWA (SAR '000)	38,614,619

IRRBBA – IRRBB risk management objectives and policies

a. The bank's definition of IRRBB for purposes of risk control and measurement.

Interest rate risk is the risk to earnings or capital attributed to the movement of interest rates. It generally arises from the following:

- Repricing risk - timing mismatch in the maturity and repricing of assets and liabilities and off-balance sheet short- and long-term positions.
- Basis risk- hedging exposure to one interest rate with exposure to another rate which re-prices under slightly different conditions.
- Yield curve risk - changes in the slope and the shape of the yield curve.
- Option risk - options, including embedded options.

b. A description of the bank's overall IRRBB management and mitigation strategies.

Interest Rate Risk Governance

The Board directs and oversees the ALM activities, including interest rate risk, to maximize shareholder value, and protect SNB from significant financial losses. The Board Risk Committee provides oversight to the ALCO, which has overall responsibility for interest rate risk monitoring and management to optimize SNB's earnings and net asset values and sets the DV01 limit.

Group Treasury is responsible for the day-to-day execution of interest-rate strategy. Group Treasury's task is to protect the Bank's earnings from adverse movements in interest rates and to enhance net interest income through appropriate action and anticipation of the extent of directional shifts in interest rates. Group Treasury manages interest rate risk in the following manner:

- Clear definition of authorized investments, permissible hedging and position-taking strategies with Treasury appointed as the executive body.
- Identification of the frequency and methodology for measuring interest rate risk.
- The setting of quantitative limits in line with the risk appetite.

Interest Rate Risk Policy Standards

The ALM policy defines the governance framework and principles for managing the Bank's balance sheet structure. Together with the IRRBB policy, it outlines the oversight and management of interest rate risk, including the consideration of hedging practices and return objectives. Within this combined framework, the Bank manages interest rate risk in a manner that supports the prudent and effective optimization of SNB's balance sheet.

Interest Rate Risk Assessment and Monitoring Tools

Interest rate risk is calculated and reported to the ALCO on a monthly basis. Following is a sample of measures and methodologies used to manage interest rate risk.

- **IRRB** - Interest Rate Risk in the Banking Book refers to the current or prospective risk to the Bank's capital and earnings and economic value arising from an adverse movement in interest rates that affect the Bank's banking book position. It is an important tool for the Bank to identify, measure, monitor and controls the interest rate sensitive assets, liabilities and off-balance sheet items that can adversely affect the Bank's financial position.
- **Maturity/Repricing Schedule** - SNB measures maturity mismatch by creating a schedule that distributes assets and liabilities into time buckets according to their final maturity (if fixed rate) or time remaining to their next repricing (if they are floating rate). Sensitivity analysis is utilized to assess the impact of interest rate movements on the net earnings and capital at risk of SNB. Assets and liabilities that do not have contractual re-pricing intervals or maturities are assigned to re-pricing buckets based on the SNB's assessment.
- **Interest Rate Limits** - SNB has in place a monitoring process for Interest Rate Exposure

Interest Rate Risk Mitigation

- Earning sensitivity to a parallel shift in the yield curve is calculated and reported to ALCO on a monthly basis.
- DV01 is calculated and reported to ALCO on a monthly basis.
- Hedging is used as appropriate to manage interest rate risk.

The periodicity of the calculation of the bank's IRRBB measures, and a description of the specific measures that the bank uses to gauge its sensitivity to IRRBB.

The Bank calculates its IRRBB for the Saudi Central Bank (SAMA) on a quarterly basis and uses Net Interest Income (NII) to gauge its sensitivity to interest rate risk. Internally, IRRBB is calculated and reported to the ALCO on a monthly basis.

- c. **A description of the interest rate shock and stress scenarios that the bank uses to estimate changes in the economic value and in earnings.**

Changes in both NII and Economic Value of Equity (EVE) are estimated by using the standard regulatory shocks and scenarios.

- d. **Significant modelling assumptions used in the bank's internal measurement systems.**

SNB assesses interest rate risk by analyzing the re-pricing gaps between interest-sensitive assets, liabilities, and off-balance-sheet banking book positions. These positions are allocated to the defined IRRBB re-pricing buckets based on their expected re-pricing behavior.

- e. **A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment.**

Treasury uses hedging to manage its interest rate exposure and safeguard SNB's strategic positions against adverse shifts in the direction of rates. This is carried out through derivatives such as interest rate swaps, futures and cross-currency swaps. These are generally done through cash-flow or fair value hedges where one type of interest payment (fixed/float) is substituted in favor of another. Hedging becomes critical in a rising/falling rates environment for the enablement of locking-in a higher rate of return and/or limiting potential revaluation.

- f. **A high-level description of key modelling and parametric assumptions used in calculating Δ EVE and Δ NII in Table B, which includes:**

- **For Δ EVE, whether commercial margins and other spread components have been included in the cash flows used in the computation and discount rate used.**

The Bank includes commercial margins/spreads in a number of its assets and discounts them using the relevant discount rate. Where commercial margins/spreads are not included, the Bank discounts using the risk-free rate.

- **How the average repricing maturity of non-maturity deposits in (1) has been determined (including any unique product characteristics that affect assessment of repricing behavior).**

Average maturity of non-maturity deposits (NMDs) has been determined separately for retail and wholesale deposits - by material currency, using the last 10 years of monthly data subject to thresholds established by the guidelines.

- **The methodology used to estimate the prepayment rates of customer loans, and/or the early withdrawal rates for time deposits and other significant assumptions.**

Overall, prepayments on loans are immaterial. Clients that do opt to prepay their loans are charged an agreed payment/rate mitigating the interest rate risk. Therefore, prepayments are not taken into consideration. Due to the contractual terms of Time Deposits, no assumptions with respect to early withdrawals have been made.

- **Any other assumptions (including for instruments with behavioral optionality that have been excluded) that have a material impact on the disclosed Δ EVE (delta EVE) and Δ NII (delta EVE) in Table B, including an explanation of why these are material.**

No assumptions have been made.

- **Any methods of aggregation across currencies and any significant interest rate correlations between different currencies.**

There are no such methods

Quantitative disclosures

1 **Average maturity (years) assigned to NMDs.**
4.3 years

2 **Longest repricing maturity (years) assigned to NMDs.**
25 years

Definitions:

EVE: Economic Value of Equity

NII: Net Interest Income

Δ EVE: Change in EVE, i.e., base EVE - stress EVE

Δ NII: Change in NII, i.e., base NII - stress NII

IRRBB1 – Quantitative information on IRRBB

SAR '000

In reporting currency	ΔEVE		ΔNII	
Period	Q4 2025	Q4 2024	Q4 2025	Q4 2024
Parallel up	16,903,378	18,600,889	1,068,176	972,338
Parallel down	--	-	(1,088,417)	(993,459)
Steeper	5,232,637	6,034,782		
Flattener	885,721	--		
Short rate up	6,304,799	6,360,825		
Short rate down	--	--		
Maximum	16,903,378	18,600,889	1,068,176	972,338
Period	Q4 2025		Q4 2024	
Tier 1 Capital	164,209,115		153,044,867	

CCyB1 – Geographical distribution of credit exposures used in the calculation of the bank-specific countercyclical capital buffer requirement

SAR '000

Geographical breakdown	Countercyclical capital buffer rate	Exposure values and/or risk-weighted assets (RWA) used in the computation of the countercyclical capital buffer		Bank-specific countercyclical capital buffer rate	Countercyclical capital buffer amount
		Exposure values	RWA		
Chile	0.50%	1,520,795	1,134,141		5,671
Hong Kong SAR	0.50%	242,967	78,202		391
Luxembourg	0.50%	1,976,347	2,575,803		12,879
Germany	0.75%	53,111	24,072		181
Korea	1.00%	6,420,449	1,578,219		15,782
Australia	1.00%	11,648	11,648		116
France	1.00%	2,429,250	915,174		9,152
Belgium	1.00%	8,504	23,402		234
United Kingdom	2.00%	23,372,174	5,756,590		115,132
Netherlands	2.00%	226,696	90,252		1,805
Sweden	2.00%	1,569	314		6
Denmark	2.50%	1,472	294		7
Others	2.50%	43,930,077	37,595,043		939,876
Sum		80,195,061	49,783,155		1,101,232
Total		884,172,965	708,281,271	0.16%	

LR1 – Summary comparison of accounting assets vs leverage ratio exposure measure

SAR '000	31 Dec 2025
Total consolidated assets as per published financial statements	1,210,031,553
Adjustment for investments in banking, financial, insurance or commercial entities that are consolidated for accounting purposes but outside the scope of regulatory consolidation	
Adjustment for securitized exposures that meet the operational requirements for the recognition of risk transference	
Adjustments for temporary exemption of central bank reserves (if applicable)	
Adjustment for fiduciary assets recognized on the balance sheet pursuant to the operative accounting framework but excluded from the leverage ratio exposure measure	(6,830,524)
Adjustments for regular-way purchases and sales of financial assets subject to trade date accounting	
Adjustments for eligible cash pooling transactions	
Adjustments for derivative financial instruments	(1,412,123)
Adjustment for securities financing transactions (i.e. repurchase agreements and similar secured lending)	
Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	120,595,857
Adjustments for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital	
Other adjustments	(38,928,473)
Leverage ratio exposure measure	1,283,456,290

LR2: Leverage ratio common disclosure template

SAR '000		31 Dec 2025	30 Sep 2025
On-balance sheet exposures			
1	On-balance sheet exposures (excluding derivatives and securities financing transactions (SFTs), but including collateral)	1,183,140,750	1,183,875,662
2	Gross-up for derivatives collateral provided where deducted from balance sheet assets pursuant to the operative accounting framework		
3	(Deductions of receivable assets for cash variation margin provided in derivatives transactions)	(6,830,524)	(5,031,078)
4	(Adjustment for securities received under securities financing transactions that are recognized as an asset)		
5	(Specific and general provisions associated with on-balance sheet exposures that are deducted from Tier 1 capital)		
6	(Asset amounts deducted in determining Tier 1 capital and regulatory adjustments)	(38,928,473)	(39,133,542)
7	Total on-balance sheet exposures (excluding derivatives and SFTs) (sum of rows 1 to 6)	1,137,381,753	1,139,711,042
Derivative exposures			
8	Replacement cost associated with <i>all</i> derivatives transactions (where applicable net of eligible cash variation margin, with bilateral netting and/or the specific treatment for client cleared derivatives)	15,607,117	14,948,147
9	Add-on amounts for potential future exposure associated with <i>all</i> derivatives transactions	9,871,563	7,530,081
10	(Exempted central counterparty (CCP) leg of client-cleared trade exposures)		
11	Adjusted effective notional amount of written credit derivatives		
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)		
13	Total derivative exposures (sum of rows 8 to 12)	25,478,680	22,478,228
Securities financing transaction exposures			
14	Gross SFT assets (with no recognition of netting), after adjustment for sale accounting transactions		
15	(Netted amounts of cash payables and cash receivables of gross SFT assets)		
16	Counterparty credit risk exposure for SFT assets		
17	Agent transaction exposures		
18	Total securities financing transaction exposures (sum of rows 14 to 17)		
Other off-balance sheet exposures			
19	Off-balance sheet exposure at gross notional amount	290,336,082	276,925,506
20	(Adjustments for conversion to credit equivalent amounts)	(169,740,225)	(161,624,845)
21	(Specific and general provisions associated with off-balance sheet exposures deducted in determining Tier 1 capital)		
22	Off-balance sheet items (sum of rows 19 to 21)	120,595,857	115,300,661
Capital and total exposures			
23	Tier 1 capital	164,209,115	157,195,043
24	Total exposures (sum of rows 7, 13, 18 and 22)	1,283,456,290	1,277,489,931
Leverage ratio			
25	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves)	12.79%	12.30%
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves)	12.79%	12.30%
26	National minimum leverage ratio requirement	3%	3%
27	Applicable leverage buffers	10%	9%
Disclosure of mean values			
28	Mean value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables		
26	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables		
30	Total exposures (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
30a	Total exposures (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
31	Basel III leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		
31a	Basel III leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)		

LIQA – Liquidity Risk Management

SNB's liquidity risk is managed through an approved policy to ensure that the Bank maintains a strong liquidity position, making it more resilient to short-term and long-lasting funding shocks, enabling the bank in managing and maintaining liquidity in line with the approved risk appetite. The policy defines the Bank's objectives for managing liquidity risk and sets conditions for the calculation of the minimum size of the Liquidity buffer and the funding needed to support an adequate liquidity buffer.

The policy's objective is to strike a prudent balance between liquidity and profitability for all currencies to maintain a strong liquidity position, which would sustain the confidence of investors, regulators, and rating agencies and improve both funding costs and availability. The policy follows the following objectives.

Ensuring the Bank's ability to generate or obtain cash or cash equivalent (collateral) in a timely and cost-efficient manner so that obligations can be met as they become due in both normal and stressed periods.

Knowing the Bank's position at any point in time, by currency and by maturity, to replace maturing obligations when they fall due, fund assets at appropriate maturities and rates, and support credit ratings and Bank's profitability.

Ensuring that profitable business opportunities can be pursued in all market environments for an extended period without liquidating assets at undesirable times & terms or raising additional unsecured funding on an unreasonable scale.

Asset Liability Management (ALM) Policy

The purpose of the ALM Policy is to set out the governance and management of the asset-liability structure and the key components of ALM as they are relevant to the Bank. ALM policy is designed to assist in optimizing the balance sheet structure and to ensure banking operations are conducted in line with SNB's strategy, risk appetite, prudential controls and limits as defined with the budget process. The primary objectives underpinning the ALM policy are the following:

Link liquidity, funding, and capital strategy to short-term and long-term liquidity needs and cash flows requirements, including considering the impact of financial distress, disturbance or significant financial loss situations; and

Consider interest rate risk/hedging/return strategy for the Bank to ensure optimal balance sheet structure within the Bank.

A vital component of the ALM is liquidity management, which focuses on the prudent management of asset-liability structure from a solvency standpoint and ensures the continued viability and funding of SNB in a time of crisis.

Liquidity Management Practices within the Bank

The Bank, through the aforementioned risk governance arrangements and organizational structure, manages its liquidity risks through well-established policies, processes, and tools that meet minimum necessary regulatory requirements and industry best practices. SNB defines liquidity risk as a "scenario" when it cannot meet its net funding requirements as they fall due, which can be caused by systemic and/or idiosyncratic events. Liquidity risk management at SNB also involves forecasting funding requirements and maintaining sufficient capacity to meet the needs and accommodate fluctuations in asset and liability levels due to business operations changes or unanticipated events. Below is a description of major liquidity risk assessment and monitoring tools employed at SNB.

Balance Sheet Analysis by Currency

A comprehensive analysis is conducted on all major currencies in which the Bank is active to ensure adequate coverage. Some of the main ratios studied among others include LDR (both simple and regulatory), Basel III recommended ILAAP pillar 1 ratios, LCR, NSFR, LDR and SLR.

Liquidity Cushion

In addition to diversifying the Bank's asset book, the investment portfolio provides an avenue to allocate the Bank's liquidity towards a high proportion of readily marketable

securities including Saudi Government Debt, SAMA bills, Government and other Investment Grade Securities or otherwise liquid non-investment grade securities. This approach is commensurate with High Quality Liquid Assets calculations for LCR.

Funding Concentration

The ALCO monitors, as appropriate, funding concentrations to ensure there is no excessive reliance on a particular product or a few customers without proper safeguards. Along these lines, current, call and time deposits funding concentrations are monitored through the ALCO process. Liability diversification is also examined through the following aspects:

- Nature of fund provider: individuals, corporations, and financial institutions;
- Funding Instruments: secured and unsecured, FX swaps, FX Spot and Issuances;
- Maturity; and
- Currency.

Intraday Liquidity

The Group Treasury ensures managing the intraday liquidity efficiently through on-going cash flow and position monitoring in conjunction with the relevant Wholesale Operations teams. The limit with SAMA is built into the Electronic Funds Transfer (EFT) system to include a maximum short position that is sufficient to accommodate intraday movements. This is done to safeguard the Bank from mismatches occurring during the clearing time when receipts and payments are staggered over several hours. The SAMA EFT system includes all interbank, customer, and SAMA specific SAR credits and debits to provide a clear picture of the Bank's position on a real-time basis.

Maximum Cumulative Outflow

Maximum Cumulative Outflow (MCO) analyzes the Bank's balance sheet maturities and estimates cumulative net cash outflows/inflows across defined time buckets. The Bank has in place MCO assumptions by different time buckets and by currency, by taking into account the current market depth and the Bank's ability to tap the market through

various instruments. These assumptions are intended to control the absolute level of liquidity shortfalls at different periods of time for each significant individual currency in which the Bank operates. The MCO provides a useful analysis to ascertain the Bank's liquidity position based on expected inflows and outflows. The bank shall continue to enhance the MCO process and institute MCO Limits/Targets, as appropriate to manage and report absolute level of liquidity shortfalls, if any at various tenors.

Collateral Management

The Bank manages its collateral positions through active margining and overall margin maintenance in compliance with Basel document "Principals of sound liquidity Risk

Management and Supervision". The collateral management team manages this process in the Wholesale Operations.

Monitoring of Liquidity Positions

A Bank-wide liquidity risk management framework is in place to monitor and manage the liquidity position across various horizons. Group Treasury monitors the liquidity position through daily cash flow reports by taking into account all known cash flows as a result of all known contractual commitments. The report is prepared for all major currencies to assess the adequacy of the liquidity position by ensuring future cash flows are only mismatched to the extent that it would not interrupt normal business operations. Finance Group produces a dashboard / analysis that breaks down various assets and liabilities, including the off-balance sheet items. The output allows multiple comparisons of the key balance sheet items to identify any problem areas or situations before they arise.

Stress Testing

The Bank runs different types of scenario tests to forecast different situations from a liquidity standpoint; these scenarios include LCR and NSFR stress scenarios among others. The results help in recognizing the potential liquidity sources and strains and are used to adjust the liquidity management strategies, policies appropriately, and positions to ensure the current exposures remain within the Bank's established liquidity risk tolerance.

Funds Transfer Pricing

Funds transfer pricing (FTP) is an internal measurement and allocation process that assigns a profit contribution value to funds raised and lent/invested by the Bank. SNB has an FTP framework in place, to ensure effective balance sheet management and optimization of profitability by accurately incorporating liquidity premium into pricing. The main objective of the FTP is to compute the total cost of liquidity consumed by all business activities for given maturities. The framework implemented a methodology for computing the FTP components, i.e. the base rate and market access premium across different tenors and for major currencies. Governance around the computation and usage of FTP has been laid down by the Bank's FTP policy to ensure robustness and effectiveness of the framework.

As a result, the FTP has been adopted in the decision-making process of SNB's activities, namely portfolio performance and pricing of prospective relationships through an account profitability model. Moreover, SNB maintains a dashboard that facilitates communication to all the businesses of the Bank. SNB will continue its efforts to adopt best practices in managing liquidity throughout its business activities.

Contingency Funding Plan

In order to mitigate the risk of a funding crisis and to effectively prepare for the same, a Contingency Funding Plan (CFP) has been established by the Bank. CFP is the compilation of policies, procedures and action plans for assessing and responding to severe disruptions to the Bank's ability to fund some or all of its activities in a timely manner and at a reasonable cost. In essence, it combines early warning indicators and advance preparation for potential high severity/low probability liquidity risk. At SNB, the CFP framework is put in place to ensure the following:

The Bank is resilient to funding shocks.

The Bank continues to operate, as normal as possible, during a funding crisis to protect franchise value.

There is no need for forced additional funding or equity at an unacceptable cost.

The Bank returns to a “business as normal” posture as soon as possible.

The ALCO sets the broad framework for the Group Treasury in seeking to ensure that SNB is constantly able to meet its financial commitments. An ALCO meeting is held every month to handle, consider and address any issues relating to maturity mismatches, commission rate risk/sensitivity and yield/cost analysis. Key features of the Bank’s ongoing liquidity risk mitigation plan are as below.

SNB maintains a minimum of liquid assets to manage unforeseen conditions.

The Bank manages its liquidity and cash flow dynamically through various money market instruments such as interbank placements, repo and long-term debt products, and hybrid structures.

ALCO is informed of any significant changes made to the pricing strategy and environment.

Diversification of the depositor base is achieved by reducing dependence on large depositors and maintaining a mix of deposits.

A periodic look through of the investment book liquidity profile under different market conditions is undertaken.

Additional quantitative disclosures

SAR '000

2025	Within 3 Months	3 to 12 Months	1 to 5 Years	Over 5 Years
Assets	231,333,720	199,227,237	195,113,297	328,048,264
Liabilities	388,227,051	70,862,233	54,898,800	4,649,751
On Balance Sheet Liquidity Gap	(156,893,331)	128,365,004	140,214,497	323,398,513
Off Balance Sheet Commitments	43,903,628	39,375,683	51,135,542	25,249,034

SNB measures its liquidity positions by monitoring liquidity gaps for various buckets as well as through Basel III liquidity ratios, SAMA’s statutory liquidity ratio and keeping an eye on intraday positions. In the above table, cash inflows and outflows are bucketed based on contractual maturities, while exposures with no maturity are slotted into Over 5 years’ bucket. This methodology to determine liquidity gaps is monitored and managed by ALCO.

SNB does not impose hard limits on funding composition and concentrations, given the nature of funding mix in the Saudi banking system. However, they are very closely managed by the Treasury Group and monitored by the Risk Group and Finance Group. Key measures are monthly reported to ALCO. SNB also monitors concentration in accepted collaterals to ensure its quality and eliminate undue risk.

Funding needs of SNB’s subsidiaries are determined and managed at the subsidiary level. To ensure that SNB supports the liquidity position of its subsidiaries and extend resources in times of stress, it sets limits on lines of funding available to subsidiaries based on the budget, additional funding requirements, and liquidity needs. These limits are reviewed on annual basis as part of the budgeting process of the group.

LIQ1: Liquidity Coverage Ratio (LCR)

SAR '000	Total unweighted value (average)	Total weighted value (average)
High-quality liquid assets		
Total HQLA		164,899,163
Cash outflows		
Retail deposits and deposits from small business customers, of which:	350,264,150	32,070,299
Stable deposits	6,833,546	341,677
Less stable deposits	343,430,605	31,728,622
Unsecured wholesale funding, of which:	175,463,851	77,144,637
Operational deposits (all counterparties) and deposits in networks of cooperative banks	-	-
Non-operational deposits (all counterparties)	175,462,891	77,143,676
Unsecured debt	961	961
Secured wholesale funding		1,474,187
Additional requirements, of which:	49,271,858	5,511,092
Outflows related to derivative exposures and other collateral requirements	648,785	648,785
Outflows related to loss of funding on debt products	0	0
Credit and liquidity facilities	48,623,073	4,862,307
Other contractual funding obligations	15,435,517	252,887
Other contingent funding obligations	270,928,859	3,293,078
Total cash outflows		119,746,179
Cash inflows		
Secured lending (e.g. reverse repos)	0	0
Inflows from fully performing exposures	125,999,365	61,902,082
Other cash inflows	237,325,940	0
Total cash inflows	2,128,016,531	61,902,082
		Total adjusted value
Total HQLA		164,899,163
Total net cash outflows		57,844,097
Liquidity Coverage Ratio (%)		285.08%

The average LCR is calculated by taking a simple average of monthly figures based on daily average balances beginning from Oct 1st, 2025 to Dec 31st, 2025.

As at end-December 2025, the group reported an average liquidity coverage ratio (LCR) as 285.08%, significantly above the regulatory minimum. The LCR increased from 262.58% in Q3-2025 reflecting a reduction in net cash outflows and improved inflows from non-financial corporates.

HQLA Variance analysis (Amounts in SAR Millions)

During the period, the groups' HQLA remain highly conservative and primarily sovereign-backed. the group held an average of SAR 155,603 (94.36%) of its High-Quality Liquid Assets (HQLAs) in securities with a 0% risk weight, issued or guaranteed by sovereigns, central groups and supranational entities. The remaining amounting of SAR 9,296 (5.64%) of HQLAs held a 20% risk weight from securities guaranteed by sovereigns and non-financial corporate bonds rated AA- or better. This composition supports strong liquidity resilience and regulatory compliance.

Cash outflows analysis (Amounts in SAR Millions)

The majority of the group's weighted cash outflows are attributable to non-financial corporates amounting to SAR 62,582 (52.26%) of the total outflows. Whereas retail and small Businesses' deposits held 26.50% amounting to SAR 28,777 outflows compared to SAR 27,274 supported by relatively stable behavioral pattern. Remaining outflows pertain to group placements amounting to SAR 11,598 at 9.69%, while derivatives net positions remain insignificant with 0.54% amounting to SAR 649 of total outflows. The Group's main activities are conducted in SAR USD, and TRY. The peg between SAR and USD currencies enhances the funding ability and provides the flexibility to swap between both currencies.

The group's LCR position comprises of 272% of SAR, 307% of USD and 702% remaining currencies mainly TRY, AED and EUR

Additionally, following the regulatory guidelines, LCR is monitored separately for all significant currencies (above 5% of the group liquidity) to ensure the liquidity ratios are met at all times at group level

Summary for the quarter (Amounts in SAR Millions)

The average Q4-2025 LCR is 285.08% as compared to Q3-2025 LCR is 262.58%, an increase of 22.50%. The improvement in LCR during Q4-2025 was mainly driven by analysis presented above. In summary, HQLAs decreased by 8.97% amounting to SAR 14,789 cash inflows increased by SAR 4,275 and cash outflows decreased by SAR 6,313.

This summary movement resulted in total HQLA of SAR 164,899 and Net cashflows of SAR 57,844 compared to previous quarter balances of total HQLA of SAR 179,688 and Net cashflows of SAR 68,432

Overall, the group LCR reflects a strong short-term liquidity position, supported by a sizable HQLA buffer, stable funding sources with no material intra-period liquidity stress observed since the average HQLA for the quarter remained at SAR 164,899.

LIQ2: Net Stable Funding Ratio (NSFR)

	Unweighted value by residual maturity				Weighted value
	No maturity	< 6 months	6 months to < 1 year	≥ 1 year	
Available stable funding (ASF) item					
Capital:				212,241,296	212,241,296
Regulatory capital				188,657,480	188,657,480
Other capital instruments				23,583,817	23,583,817
Retail deposits and deposits from small business customers:	322,839,687	45,148,694	3,215,007	2,177,310	341,063,563
Stable deposits	96,062,144	1,350	580		91,260,871
Less stable deposits	226,777,543	45,147,344	3,214,427	2,177,310	249,802,692
Wholesale funding:	172,178,677	88,207,851	1,646,896	4,684,879	135,701,591
Operational deposits	6,129,259				3,064,629
Other wholesale funding	166,049,418	88,207,851	1,646,896	4,684,879	132,636,962
Liabilities with matching interdependent assets	0	0	0	0	0
Other liabilities:	0	230,138,059	48,179,077	73,540,479	97,630,017
NSFR derivative liabilities					
All other liabilities and equity not included in the above categories	0	230,138,059	48,179,077	73,540,479	97,630,017
Total ASF					786,636,467
Required stable funding (RSF) item					
Total NSFR high-quality liquid assets (HQLA)					16,947,725
Deposits held at other financial institutions for operational purposes	10,408,114	24,254,598		25,306,170	42,637,526
Performing loans and securities:	11,734,410	278,255,305	40,862,133	413,179,479	520,904,274
Performing loans to financial institutions secured by Level 1 HQLA					
Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financial institutions				1,125,002	1,125,002
Performing loans to non-financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:		276,822,677	40,228,785	375,128,139	477,384,649
With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	0	0	0	0	0
Performing residential mortgages, of which:	0	0	0	0	0
With a risk weight of less than or equal to 35% under the Basel II standardised approach for credit risk	-	-	-	-	
Securities that are not in default and do not qualify as HQLA, including exchange-traded equities	11,734,410	1,432,629	633,348	36,926,338	42,394,623
Assets with matching interdependent liabilities					
Other assets:	44,969,531	5,706,092		99,975,481	105,384,168
Physical traded commodities, including gold	389,287				330,894
Assets posted as initial margin for derivative contracts and contributions to default funds of central counterparties				4,188,664	3,560,365
NSFR derivative assets				1,517,428	1,517,428
NSFR derivative liabilities before deduction of variation margin posted					
All other assets not included in the above categories	44,580,244			99,975,481	99,975,481
Off-balance sheet items		203,871,800			2,847,582
Total RSF					688,721,275
Net Stable Funding Ratio (%)					
					114.22%

NSFR Variance analysis

The Net Stable Funding Ratio as of December 2025 is 114.22%, an increase of 1.90% as compared to September 2025 which was at 112.32%

Weighted ASF analysis (Amounts in SAR Millions)

Available Stable Funding (ASF) mainly represents the liabilities and equities portion of the balance sheet and comprises of equity and capital issuances, customer deposits and other liabilities and interbank and other borrowings. The weights for ASF is determined by NSFR guidelines and are driven by counterparty segment type and maturity ladder.

As at the end of December 2025, the Bank held a balance of SAR 212,241 (26.98%) of ASF from equity and regulatory capital instruments which have 100% ASF weight. An amount of SAR 341,064 representing 43.36% comprised of retail and SME deposits with a 95% ASF factor for stable deposits and 90% ASF factor for unstable deposits. An amount of SAR 135,702 representing 17.25% comprised of wholesale funding with a 50% ASF factor and the remaining balances were held as other liabilities with different ASF factors.

Weighted RSF analysis (Amounts in SAR Millions)

Required Stable Funding is mainly represents assets portion of balance sheet comprising Cash, Investments, Loans and advances, fixed assets, other assets, interbank placements while holding of HQLA. The weights for RSF is determined by NSFR guidelines and are driven by counterparty segment type and maturity ladder.

As at the end of December 2025, the Bank held a balance of SAR 520,904 (75.63%) of RSF from Performing loans and securities. Out of this, SAR 478,510 (69.48% of RSF) are loans to non-financial corporate clients, retail and SME customers and Fls. SAR 42,395 (6.16%) is from investment securities. The remaining composition of RSF arises from HQLA's, bank and FI placements and other assets and off balance sheet items amounting to SAR 167,817 (24.37%).

A comparison with last quarter's NSFR is presented in the following table:

Description	December 2025	September 2025
NSFR	114.22%	112.32%

Summary for the quarter (Amounts in SAR Millions)

For the quarter, weighted ASF is SAR 786,636 out of unweighted total liabilities and equity position of SAR 1,210,032 , represents 65.01%. Similarly, weighted RSF is SAR 688,721 out of total unweighted total assets of SAR 1,210,032 , represents 56.92%.

Accordingly the group's NSFR reflects a resilient structural stable funding levels for the group which is well above the regulatory requirement and provides stable liquidity adequacy with no material adverse changes observed during the period.

Appendix

The below list of tables and templates are not available as the related approach is not applicable to the Bank

	Tables	Ref#
Overview of risk management, key prudential metrics and RWA	Key metrics – total loss-absorbing capacity (TLAC) requirements (at resolution group level)	KM2
Comparison of modelled and standardized RWA	Comparison of modelled and standardized RWA at risk level Comparison of modelled and standardized RWA for credit risk at asset class	CMS1 CMS2
Composition of capital and TLAC	TLAC composition for G-SIBs (at resolution group level) Material subgroup entity - creditor ranking at legal entity level Resolution entity - creditor ranking at legal entity level	TLAC1 TLAC2 TLAC3
Links between financial statements and regulatory exposures	Prudent valuation adjustments (PVA)	PV1
Comparison of modelled and standardized RWA	Comparison of modelled and standardized RWA at risk level	CMS1
Credit risk	Qualitative disclosure related to IRB models IRB - Credit risk exposures by portfolio and PD range IRB - Effect on RWA of credit derivatives used as CRM techniques RWA flow statements of credit risk exposures under IRB IRB - Backtesting of probability of default (PD) per portfolio IRB (specialized lending under the slotting approach)	CRE CR6 CR7 CR8 CR9 CR10
Counterparty credit risk	IRB - CCR exposures by portfolio and PD scale RWA flow statements of CCR exposures under the internal models method (IMM)	CCR4 CCR7
Securitisation	Securitisation exposures in the trading book Securitisation exposures in the banking book and associated regulatory capital requirements - bank acting as originator or as sponsor	SEC2 SEC3
Market risk	Qualitative disclosures for banks using the IMA Market risk IMA per risk type Market risk under the simplified standardized approach	MRB MR2 MR3
Credit valuation adjustment risk	The full basic approach for CVA (BA-CVA) Qualitative disclosures for banks using the SA-CVA The standardized approach for CVA (SA-CVA) RWA flow statements of CVA risk exposures under SA-CVA	CVA2 CVAB CVA3 CVA4
Macroprudential supervisory measures	Disclosure of G-SIB indicators	GSIB1

Basel III Qualitative and Quantitative Pillar 3 Disclosures Policy:

To assure compliance with the requirements of the guidance issued by SAMA dated December 2022, SNB has created Basel III Pillar 3 Disclosures Policy which was approved by the Board. The policy document governs the implementation, process and reporting of Basel III Pillar 3 Disclosures. It describes the scope, guiding principles, required standards and regulations, roles and responsibilities and internal controls for these disclosures.



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